Assessment Test

1. What is one of the most important skills a project manager can have?
   A. Negotiation skills
   B. Influencing skills
   C. Communication skills
   D. Problem-solving skills

2. Project managers have the highest level of authority and the most power in which type of organizational structure?
   A. Projectized
   B. Strong matrix
   C. Functional
   D. Balanced matrix

3. The Project Management Knowledge Areas _____.
   A. include Initiation, Planning, Executing, Monitoring and Controlling, and Closing
   B. consist of nine areas that bring together processes that have things in common
   C. consist of five processes that bring together phases of projects that have things in common
   D. include Planning, Executing, and Monitoring and Controlling processes because these three processes are commonly interlinked

4. The project sponsor has approached you with a dilemma. The CEO announced at the annual stockholders meeting that the project you're managing will be completed by the end of this year. The problem is that this is six months prior to the scheduled completion date. It's too late to go back and correct her mistake, and stockholders are expecting implementation by the announced date. You must speed up the delivery date of this project. Your primary constraint before this occurred was the budget. What actions can you take to help speed up the project?
   A. Hire more resources to get the work completed faster.
   B. Ask for more money so that you can contract out one of the phases you had planned to do with in-house resources.
   C. Utilize negotiation and influencing skills to convince the project sponsor to speak with the CEO and make a correction to her announcement.
   D. Examine the project plan to see whether there are any phases that can be fast tracked, and then revise the project plan to reflect the compression of the schedule.

5. Which of the following describes the Executing process group?
   A. Project plans are put into action.
   B. Project performance measurements are taken and analyzed.
   C. Project plans are developed.
   D. Project plans are published.

6. You have been assigned to a project that will allow job seekers to fill out
   mit them via the company website. You report to the VP of human resources. You are ...
   responsible for screening applications for the information technology division and setting up interviews. The project coordinator has asked for the latest version of your changes to the online application page for his review. Which organizational structure do you work in?
   A. Functional organization
   B. Weak matrix organization
   C. Projectized organization
   D. Balanced matrix organization

7. According to the *PMBOK Guide*, the project manager is identified and assigned during which process?
   A. Prior to beginning the Develop Project Charter process
   B. At the conclusion of the Develop Project Charter process
   C. Prior to beginning the Planning processes
   D. Prior to beginning the Preliminary Scope Statement process

8. You are refining the product description for your company's new line of ski boots. Which of the following statements is true?
   A. You are in the Initiating processes of your project and know that the product description will contain more detail in this stage and that a decreasing amount of detail will be added to it as the project progresses.
   B. You are in the Planning processes of your project and know that the product description will contain less detail in this stage and greater detail as the project progresses.
   C. You are in the Planning processes of your project and know that the product description should contain the most detail possible at this stage, because this is critical information for the Planning process.
   D. You are in the Initiating process of your project and know that the product description will contain less detail in this stage and greater detail as the project progresses.

9. The business needs, strategic plan, and product scope description all describe elements of which of the following?
   A. Organizational process assets
   B. Tools and techniques of the Initiating processes
   C. The project statement of work
   D. The project charter

10. You are a project manager for Waterways Houseboats, Inc. You've been asked to perform a cost-benefit analysis for two proposed projects. Project A costs $2.4 million, with potential benefits of $12 million and future operating costs of $3 million. Project B costs $2.8 million, with potential benefits of $14 million and future operating costs of $2 million. Which project should you recommend?
    A. Project A, because the cost to implement is cheaper than Project B.
    B. Project A, because the potential benefits plus the future operating costs are less in value than the same calculation for Project B.
    C. Project B, because the potential benefits minus the implementation and future operating costs are greater in value than the same calculation for Project A.
    D. Project B, because the potential benefits minus the costs to implement are greater in value than the same calculation for Project A.

11. What is the purpose of the project charter?
    A. To recognize and acknowledge the project sponsor
    B. To recognize and acknowledge the existence of the project and commit organizational resources to the project
    C. To acknowledge the existence of the project team, project manager, and project sponsor
    D. To describe the selection methods used to choose this project over its competitors

12. Which of the following are tools and techniques of the Preliminary Scope Statement process?
    A. Project management methodology, project management information system, and expert judgment
    B. Project selection methods and expert judgment
    C. Constraints, assumptions, and expert judgment
    D. Project charter, project management information system, and project selection methods

13. You are a project manager for the Swirling Seas Cruises food division. You're considering two different projects regarding food services on the cruise lines. The initial cost of Project Fish'n for Chips will be $800,000, with expected cash inflows of $300,000 per quarter. Project Picnic's payback period is six months. Which project should you recommend?
    A. Project Fish'n for Chips, because its payback period is two months shorter than Project Picnic's.
    B. Project Fish'n for Chips, because the costs on Project Picnic are unknown.
    C. Project Picnic, because Project Fish'n for Chips' payback period is four months longer than Project Picnic's.
    D. Project Picnic, because Project Fish'n for Chips' payback period is two months longer than Project Picnic's.

14. What are decision models?
    A. Project selection criteria
    B. Project selection methods
    C. Project selection committees
    D. Project resource and budget selection methods

15. You've been assigned as a project manager on a research and development project for a new dental procedure. You're working in the Scope Planning process. What is the purpose of the project scope management plan?
    A. The project scope management plan describes and documents a scope baseline to help make future project decisions.
    B. The project scope management plan decomposes project deliverables into smaller units of work.
    C. The project scope management plan describes how project scope will be developed and how changes will be managed.
    D. The project scope management plan describes how cost and time estimates will be developed for project scope changes.

16. You are the project manager for Lucky Stars Candies. You've identified the deliverables and requirements and documented them where?
    A. In the project scope statement, which will be used as an input to the Create WBS process
    B. In the project scope management document, which is used as an input to the Scope Definition process
    C. In the product requirements document, which is an output of the Scope Definition process
    D. In the project specifications document, which is an output of the Scope Planning process

17. Each of the following statements describes an element of the Develop Project Management Plan process except for which one?
    A. Project management methodology
    B. Project specifications
    C. Configuration management system
    D. Expert judgment

18. What are the Scope Definition process tools and techniques?
    A. Cost benefit analysis, templates, and expert judgment
    B. Product analysis, cost benefit analysis, alternatives identification, and expert judgment
    C. Product analysis, alternatives identification, expert judgment, and stakeholder analysis
    D. Alternatives identification, stakeholder analysis, and expert judgment

19. Which of the following statements is true regarding constraints and assumptions?
    A. Constraints restrict the actions of the project team, and assumptions are considered true for planning purposes.
    B. Constraints are considered true for planning purposes, and assumptions limit the options of the project team.
    C. Constraints consider vendor availability and resource availability to be true for planning purposes. Assumptions limit the project team to work within predefined budgets or timelines.
    D. Constraints and assumptions are inputs to the Initiation process. They should be documented, because they will be used throughout the project Planning process.

20. You've just completed the WBS. Which of the following statements is true?
    A. The WBS breaks the project deliverables down to a level where alternatives identification can be used to determine how level-two assignments should be made.
    B. The WBS breaks the project deliverables down to a level where project constraints and assumptions can be easily identified.
    C. The WBS breaks the project deliverables down to the work package level, where product analysis can be documented.
    D. The WBS breaks the project deliverables down to the work package level, where cost and time estimates can be easily determined.

21. You are the project manger for Xylophone Phonics. It produces children's software programs that teach basic reading and math skills. You are performing the Quality Planning process and are identifying nonproductive activities. Part of this involves capturing information such as process boundaries, process configurations, and process metrics. Which of the following does this describe?
    A. The process improvement plan
    B. The quality management plan
    C. The quality metrics
    D. The cost of quality

22. Failure costs are also known as which of the following?
    A. Internal costs
    B. Cost of poor quality
    C. Cost of keeping defects out of the hands of customers
    D. Prevention costs

23. All of the following statements are true regarding Ishikawa diagrams in the Risk Identification process except which one?
    A. Ishikawa diagrams are also called *cause-and-effect diagrams*.
    B. Ishikawa diagrams are also called *fishbone diagrams*.
    C. Ishikawa diagrams are a tool and technique of this process.
    D. Ishikawa diagrams show the steps needed to identify the risk.

24. All of the following statements are true regarding risk events except which one? Choose the least correct answer.
    A. Project risks are uncertain events.
    B. If risks occur, they can have a positive or negative effect on project objectives.
    C. Unknown risks are threats to the project objectives, and nothing can be done to plan for them.
    D. Risks that have more perceived rewards to the organization than the consequences of the risk should be accepted.

25. You are a project manager working on a software development project. You've developed the risk management plan, identified risks, and determined risk responses for the risks. One of the risks you identified occurs, and you implement the response for that risk. Then, another risk occurs as a result of the response you implemented. What type of risk is this called?
    A. Trigger risk
    B. Residual risk
    C. Secondary risk
    D. Mitigated risk

26. Your team is developing the risk management plan. Which tool and technique of this process is used to develop risk cost elements and schedule activities that will be included in the project budget and schedule?
    A. Planning meetings and analysis
    B. Strategies for both threats and opportunities
    C. Information gathering techniques
    D. Risk data quality assessment

27. Monte Carlo analysis can help predict the impact of risks on project deliverables. This is an element of one of the tools and techniques of which of the following processes?
    A. Risk Response Planning
    B. Quantitative Risk Analysis
    C. Risk Identification
    D. Qualitative Risk Analysis

28. All of the following statements are true regarding risks except for which one? Choose the least correct answer.
    A. Risks might be threats to the objectives of the project.
    B. Risks are certain events that may be threats or opportunities to the objectives of the project.
    C. Risks might be opportunities to the objectives of the project.
    D. Risks have causes and consequences.

29. Which of the following contracts should you use for projects that have a degree of uncertainty and require a large investment early in the project life cycle?
    A. Fixed price
    B. Cost reimbursable
    C. Lump sum
    D. T&M

30. All of the following statements are true regarding the ADM method except which one?
    A. The ADM method is a tool and technique of Activity Sequencing.
    B. The ADM method uses one time estimate to determine durations.
    C. The ADA method is also called AOA.
    D. The ADA method is rarely used today.

31. You are the project manger for Xylophone Phonics. This company produces children's software programs that teach basic reading and math skills. You are ready to assign project roles, responsibilities, and reporting relationships. Which project Planning process are you working on?
    A. Resource Planning
    B. Human Resource Planning
    C. Acquire Staff
    D. Human Resource Acquisition

32. Which of the following compression techniques increases risk?
    A. Crashing
    B. Resource leveling
    C. Fast tracking
    D. Lead and lag

33. You are the project manager for Heartthrobs by the Numbers Dating Services. You're working on an updated Internet site that will display pictures as well as short bios of prospective heartbreakers. You have your activity list and resource requirements in hand and are planning to use parametric estimates and reserve analysis to determine activity durations. Which of the following statements is true?
    A. You are using inputs of the Activity Duration Estimating process.
    B. You are using tools and techniques of the Cost Estimating process.
    C. You are using tools and techniques of the Activity Duration Estimating process.
    D. You are using inputs of the Cost Estimating process.

34. You are working on a project that will upgrade the phone system in your customer service center. You have used bottom-up estimating techniques to assign costs to the project activities and have determined the cost baseline. Which of the following statements is true?
    A. You have completed the Cost Estimating process and now need to complete the Cost Budgeting process to determine the project's baseline.
    B. You have completed the Cost Estimating process and established a project baseline to measure future project performance against.
    C. You have completed the Cost Budgeting process and now need to complete the Schedule Development process to establish a project baseline to measure future project performance against.
    D. You have completed the Cost Budgeting process, and the cost baseline will be used to measure future project performance.

35. You are the project manger for Xylophone Phonics. It produces children's software programs that teach basic reading and math skills. You're performing cost estimates for your project and don't have a lot of details yet. Which of the following techniques should you use?
    A. Analogous estimating techniques, because this is a form of expert judgment that uses historical information from similar projects
    B. Bottom-up estimating techniques, because this is a form of expert judgment that uses historical information from similar projects
    C. Monte Carlo analysis, because this is a modeling technique that uses simulation to determine estimates
    D. Parametric modeling, because this is a form of simulation used to determine estimates

36. You are a project manager who has recently held a project team kickoff meeting where all the team members were formally introduced to each other. Some of the team members know each other from other projects and have been working with you for the past three weeks during the Planning processes. Which of the following statements is true?
    A. Team building begins once all the members of the team are identified and introduced to each other. This team is in the storming stage of team development.
    B. Team building begins in the Planning process group. This team is in the storming stage of team development.
    C. Team building begins once all the members of the team are identified and introduced to each other. This team is in the forming stage of team development.
    D. Team building begins in the Planning process group. This team is in the forming stage of team development.

37. Project managers spend what percentage of their time communicating?
    A. 90
    B. 85
    C. 75
    D. 50

38. People are motivated by the need for achievement, power, or affiliation according to which theory?
    A. Expectancy Theory
    B. Achievement Theory
    C. Contingency Theory
    D. Theory X

39. During your project meeting, a problem was discussed, and a resolution to the problem was reached. During the meeting, the participants started wondering why they thought the problem was such a big issue. Sometime after the meeting, you received an email from one of the meeting participants saying they've changed their mind about the solution reached in the meeting and need to resurface the problem. The solution reached during the initial project meeting is a result of which of the following conflict resolution techniques?
    A. Confrontation
    B. Forcing
    C. Smoothing
    D. Storming

40. You are the project manager for Heartthrobs by the Numbers Dating Services. You're working on an updated Internet site that will display pictures as well as short bios of prospective heartbreakers. You've just completed your project staff assignments and published the project team directory. Which process are you in?
    A. Human Resource Planning
    B. Direct and Manage Project Execution
    C. Develop Project Team
    D. Acquire Project Team

41. You need to convey some very complex, detailed information to the project stakeholders. What is the best method for communicating this kind of information?
    A. Verbal
    B. Vertical
    C. Horizontal
    D. Written

42. This process applies evaluation criteria to the bids and proposals received from potential vendors.
    A. Request Seller Responses
    B. Contract Administration
    C. Select Sellers
    D. Quality Assurance

43. The project manager has the greatest influence over quality during which process?
    A. Quality Planning
    B. Quality Assurance
    C. Quality Control
    D. Quality Change Control

44. There are likely to be team loyalty issues in a matrixed environment. All of the following are true regarding this situation as it pertains to the Manage Project Team process except for which one?
    A. Two of the tools and techniques you might use to manage these relationships effectively are communications methods and issue logs.
    B. In this type of structure, team members report to both a functional manager and a project manager.
    C. The project manager is generally responsible for managing this relationship.
    D. The effective management of these reporting relationships is often a critical success factor for the project.

45. The inputs of the Performance Reporting process include all of the following except for which one?
    A. Work performance information
    B. Performance measurements
    C. Forecasted completion
    D. Performance reviews

46. As a result of a face-to-face meeting you recently had to discuss the items in your issues log, you have resolved issues and come away with an approved corrective action and an update to the project management plan. Which process does this describe?
    A. Manage Stakeholders
    B. Performance Reporting
    C. Information Distribution
    D. Manage Project Team

47. Which performance measurement tells you how much more of the budget is required to finish the project?
    A. ETC
    B. EV
    C. AC
    D. EAC

48. All of the following statements are true regarding configuration management except which one?
    A. Configuration management requires acceptance decisions for all change requests to be made through the CCB.
    B. Change control systems are a subset of the configuration management system.
    C. Configuration management describes the physical characteristics of the product of the project.
    D. Configuration management controls changes to the product of the project.

49. Which performance measurement tells you what the projected total cost of the project will be at completion?
    A. ETC
    B. CPI
    C. SPI
    D. EAC

50. You know that PV = 470, AC = 430, EV = 480, EAC = 500, and BAC = 525. What is VAC?
    A. 70
    B. 20
    C. 25
    D. 30

51. All of the following are outputs of the Integrated Change Control process except for which one?
    A. Approved corrective actions
    B. Validated defect repair
    C. Requested changes
    D. Project scope statement updates

52. Every status meeting should have time allotted for Risk Monitoring and Control. Which of the following sentences is not true?
    A. Risk identification and monitoring should occur throughout the life of the project.
    B. Risk audits should occur throughout the life of the project and are specifically interested in measuring the team's performance in the Risk Identification and Risk Monitoring and Control processes.
    C. Risks should be monitored for their status and to determine whether the impacts to the objectives have changed.
    D. Technical performance measurement variances may indicate that a risk is looming and should be reviewed at status meetings.

53. These diagrams rank-order factors for corrective action by frequency of occurrence. They are also a type of histogram.
    A. Control charts
    B. Process flowcharts
    C. Scatter diagrams
    D. Pareto charts

54. The primary function of the Closing processes is to perform which of the following?
    A. Formalize lessons learned and distribute this information to project participants.
    B. Perform audits to verify the project results against the project requirements.
    C. Formalize project completion and disseminate this information to project participants.
    D. Perform post-implementation audits to document project successes and failures.

55. You are the project manager for a construction company that is building a new city and county office building in your city. You recently looked over the construction site to determine whether the work to date was conforming to the requirements and quality standards. Which tool and technique of the Perform Quality Control process are you using?
    A. Defect repair review
    B. Inspection
    C. Sampling
    D. Quality audit

56. Which of the following statements is true regarding Close Project?
    A. Close Project occurs at the end of a project phase and at the end of the project.
    B. Close Project occurs at the end of the project phase only.
    C. Close Project occurs at the end of the project only.
    D. Close Project is performed after Contract Closure.

57. What type of organization experiences the least amount of stress during project closeout?
    A. Projectized
    B. Functional
    C. Weak matrix
    D. Strong matrix

58. All of the following statements are true of the project Closing processes except for which one?
    A. Probability for success is greatest in the project Closing processes.
    B. The project manager's influence is greatest in the project Closing processes.
    C. The stakeholders' influence is least in the project Closing processes.
    D. Risk is greatest in the project Closing processes.

59. You are the project manager for a construction company that is building a new city and county office building in your city. Your CCB recently approved a scope change. You know that scope change might come about as a result of all of the following except which one?
    A. Schedule revisions
    B. Product scope change
    C. Changes to the agreed-upon WBS
    D. Changes to the project requirements

60. Inspections are also called each of the following except for which one?
    A. Reviews
    B. Assessment
    C. Walk-throughs
    D. Audits

61. You are a project manager working in a foreign country. You observe that some of your project team members are having a difficult time adjusting to the new culture. You provided them with training on cultural differences and the customs of this country before arriving, but they still seem uncomfortable and disoriented. Which of the following statements is true?
    A. This is the result of working with teams of people from two different countries.
    B. This condition is known as *culture shock*.
    C. This is the result of jet lag and travel fatigue.
    D. This condition is known as *global culturalism*.

62. Your project involves the research and development of a new food additive. You're ready to release the product to your customer when you discover that a minor reaction might occur in people with certain conditions. The reactions to date have been very minor, and no known long-lasting side effects have been noted. As project manager, what should you do?
    A. Do nothing because the reactions are so minor that very few people will be affected.
    B. Inform the customer that you've discovered this condition and tell them you'll research it further to determine its impacts.
    C. Inform your customer that there is no problem with the additive except for an extremely small percentage of the population and release the product to them.
    D. Tell the customer you'll correct the reaction problems in the next batch, but you'll release the first batch of product to them now to begin using.

63. You have just prepared an RFP for release. Your project involves a substantial amount of contract work detailed in the RFP. Your favorite vendor drops by and offers to give you and your spouse the use of their company condo for your upcoming vacation. It's located in a beautiful resort community that happens to be one of your favorite places to go for a getaway. What is the most appropriate response?
    A. Thank the vendor, but decline the offer because you know this could be considered a conflict of interest.
    B. Thank the vendor, and accept. This vendor is always offering you incentives like this, so this offer does not likely have anything to do with the recent RFP release.
    C. Thank the vendor, accept the offer, and immediately tell your project sponsor so they're aware of what you're doing.
    D. Thank the vendor, but decline the offer because you've already made another arrangement for this vacation. Ask them whether you can take a rain check and arrange another time to use the condo.

64. As a PMP, one of your responsibilities is to ensure integrity on the project. When your personal interests are put above the interests of the project or when you use your influence to cause others to make decisions in your favor without regard for the project outcome, this is considered which of the following?
    A. Conflict of interest
    B. Using professional knowledge inappropriately
    C. Culturally unacceptable
    D. Personal conflict issue

65. Name the ethical code you'll be required to adhere to as a PMP.
    A. *Project Management Policy and Ethics Guide*
    B. *Project Management Professional Standards and Ethics*
    C. *Project Management Code of Professional Ethics*
    D. *Project Management Professional Code of Professional Conduct*

Review Questions

1. Which organization has set the de facto standards for project management techniques?
   A. PMBOK
   B. PMO
   C. PMI
   D. PMA

2. The VP of marketing approaches you and requests that you change the visitor logon screen on the company's website to include a username with at least six characters. This is considered
   A. project initiation
   B. ongoing operations
   C. a project
   D. project execution

3. Your company manufactures small kitchen appliances. It is introducing a new product line of appliances in designer colors with distinctive features for kitchens in small spaces. These new products will be offered indefinitely starting with the spring catalog release. Which of the following is true?
   A. This is a project because this new product line has never been manufactured and sold by this company before.
   B. This is an ongoing operation because the company is in the business of manufacturing kitchen appliances. Introducing designer colors and features is simply a new twist on an existing process.
   C. This is an ongoing operation because the new product line will be sold indefinitely. It's not temporary.
   D. This is not a project or an ongoing operation. This is a new product introduction not affecting ongoing operations.

4. Your company manufactures small kitchen appliances. It is introducing a new product line of appliances in designer colors with distinctive features for kitchens in small spaces. These new products will be offered indefinitely starting with the spring catalog release. To determine the characteristics and features of the new product line, you will have to perform which of the following?
   A. Fast tracking
   B. Consulting with the stakeholders
   C. Planning the project life cycle
   D. Progressive elaboration

5. A project is considered successful when
   A. the product of the project has been manufactured
   B. the project sponsor announces the completion of the project
   C. the product of the project is turned over to the operations area to handle the ongoing aspects of the project
   D. the project meets or exceeds the expectations of the stakeholders

6. The VP of customer service has expressed concern over a project in which you're involved. His specific concern is that if the project is implemented as planned, he'll have to purchase additional equipment to staff his customer service center. The cost is substantial and was not taken into consideration in the project budget. The project sponsor insists that the project must go forward as originally planned or the customer will suffer. Which of the following is true?
   A. The VP of customer service is correct. Since the cost was not taken into account at the beginning of the project, the project should not go forward as planned. Project initiation should be revisited to examine the project plan and determine how changes can be made to accommodate customer service.
   B. The conflict should be resolved in favor of the customer.
   C. The conflict should be resolved in favor of the project sponsor.
   D. The conflict should be resolved in favor of the VP of customer service.

7. Which of the following brings together a set of tools and techniques used to describe, organize, and monitor the work of project activities?
   A. Project managers
   B. The *PMBOK Guide*
   C. Project management
   D. Stakeholders

8. The Project Integration Management Knowledge Area consists of some of the following processes. Which of these belong to Project Integration Management?
   A. Scope Definition, Close Project, and Integrated Change Control
   B. Develop Project Management Plan, Direct and Manage Project Execution, and Integrated Change Control
   C. Preliminary Scope Statement, Direct and Manage Project Execution, and Manage Stakeholders
   D. Preliminary Scope Statement, Scope Planning, and Close Project

9. You are the project manager for Fun Days Vacation Resorts. Your new project assignment is to head up the Fun Days resort opening in Austin, Texas. You are estimating the duration of the project plan activities, devising the project schedule, and monitoring and controlling deviations from the schedule. Which of the Project Management Knowledge Areas are you working in?
   A. Project Scope Management
   B. Project Quality Management
   C. Project Integration Management
   D. Project Time Management

10. You are the project manager for a large construction project. The project objective is to construct a set of outbuildings to house the Olympic support team that will be arriving in your city 18 months from the project start date. Resources are not readily available because they are currently assigned to other projects. Jack, an expert crane operator, is needed for this project two months from today. Which of the following skills will you use to get Jack assigned to your project?
    A. Negotiation and influencing skills
    B. Communication and organizational skills
    C. Communication skills
    D. Problem-solving skills

11. You've decided to try your hand at project management in the entertainment industry. You're working on a movie production, and the team has just completed the storyboard phase of the project. Which of the following is true?
    A. The storyboard is a deliverable that marks the end of the phase. The deliverable must be approved before the next phase begins.
    B. The storyboard phase marks the end of the Initiating process group, and the next phase of the project should begin.
    C. All the phases of this project together make up a program.
    D. The division of phases and determining which processes to use in each phase is called *tailoring*.

12. You are managing a project to install a new postage software system that will automatically print labels and administer postage for certified mailings, overnight packages, and other special mailing needs. You've attempted to gain the cooperation of the business analyst working on this project, and you need some answers. She is elusive and tells you that this project is not her top priority. What should you do to avoid situations like this in the future?
    A. Establish the business analyst's duties well ahead of due dates, and tell her you'll be reporting on her performance to her functional manager.
    B. Establish the business analyst's duties well ahead of due dates, and tell her you are expecting her to meet these expectations because the customer is counting on the project meeting due dates to save significant costs on their annual mailings.
    C. Negotiate with the business analyst's functional manager during the planning process to establish expectations and request to participate in the business analyst's annual performance review.
    D. Negotiate with the business analyst's functional manager during the planning process to establish expectations, and inform the functional manager of the requirements of the project. Agreement from the functional manager will assure the cooperation of the business analyst.

13. The amount of authority a project manager possesses can be related to
    A. the project manager's communication skills
    B. the organizational structure
    C. the amount of authority the manager of the project manager possesses
    D. the key stakeholder's influence on the project

14. What is one of the advantages of a functional organization?
    A. All employees report to one manager and have a clear chain of command.
    B. All employees report to two or more managers, but project team members show loyalty to functional managers.
    C. The organization is focused on projects and project work.
    D. Teams are co-located.

15. You have been assigned to a project in which the objectives are to direct customer calls to an interactive voice response system before being connected to a live agent. You are in charge of the media communications for this project. You report to the project manager in charge of this project and the VP of marketing, who share responsibility for this project. Which organizational structure do you work in?
    A. Functional organization
    B. Weak matrix organization
    C. Projectized organization
    D. Balanced matrix organization

16. You have been assigned to a project in which the objectives are to expand three miles of the north-to-south highway through your city by two lanes in each direction. You are in charge of the demolition phase of this project, and you report to the project manager in charge of this project. You have been hired on contract and will be released at the completion of the demolition phase. What type of organizational structure does this represent?
    A. Functional organization
    B. Weak matrix organization
    C. Projectized organization
    D. Balanced matrix organization

17. What are the five project management process groups, in order?
    A. Initiating, Executing, Planning, Monitoring and Controlling, and Closing
    B. Initiating, Monitoring and Controlling, Planning, Executing, and Closing
    C. Initiating, Planning, Monitoring and Controlling, Executing, and Closing
    D. Initiating, Planning, Executing, Monitoring and Controlling, and Closing

18. You have been assigned to a project in which the objectives are to expand three miles of the north-to-south highway through your city by two lanes in each direction. You are interested in implementing a new project process called Design-Build in order to speed up the project schedule. The idea is that the construction team will work on the first mile of the highway reconstruction at the same time the design team is coming up with plans for the third mile of the reconstruction rather than completing all design before any construction begins. This is an example of
    A. managing the projects as a program
    B. fast tracking
    C. progressive elaboration
    D. co-location

19. During which project management process are risk and stakeholder's ability to influence project outcomes the highest at the beginning of the process?
    A. Planning
    B. Executing
    C. Initiating
    D. Monitoring and Controlling

20. You are a project manager working on gathering requirements and establishing estimates for the project. Which process group are you in?
    A. Planning
    B. Executing
    C. Initiating
    D. Monitoring and Controlling

Review Questions

1. When a project is being performed under contract, the SOW is provided by which of the following?
    A. The buyer
    B. The project sponsor
    C. The project manager
    D. The contractor

2. You've been hired as a manager for the adjustments department of a nationwide bank based in your city. The adjustments department is responsible for making corrections to customer accounts. This is a large department, with several smaller sections that deal with specific accounts, such as personal checking or commercial checking. You've received your first set of management reports and can't make heads or tails of the information. Each section appears to use a different methodology to audit their work and record the data for the management report. You request a project manager from the PMO to come down and get started right away on a project to streamline this process and make the data and reports consistent. This project came about as a result of which of the following?
    A. Technological advance
    B. Business need
    C. Customer request
    D. Legal requirement

3. What are the inputs to the Develop Project Charter process?
    A. Contract, project SOW, enterprise environmental factors, and organizational process assets
    B. Project SOW, project selection methods, and organizational process assets
    C. Contract, project selection methods, enterprise environmental factors, and organizational process assets
    D. Project SOW, project selection methods, and enterprise environmental factors

4. You work for a large manufacturing plant. Your firm is thinking of initiating a new project to release an overseas product line. This is the company's first experience in the overseas market, and it wants to make a big splash with the introduction of this product. The project entails producing your product in a concentrated formula and packaging it in smaller containers than the U.S. product uses. A new machine is needed in order to mix the first set of ingredients in the concentrated formula. Which of the following actions should the project manager take?
   A. The project manager should document the project's objectives and business justification in a project charter document and recommend that the project should proceed.
   B. The project manager knows the project is a go and should document the project's objectives and known deliverables in a preliminary scope statement document.
   C. The project manager should document the business need for the project and recommend that a feasibility study be performed to determine viability of the project.
   D. The project manager should document the high-level product requirements and stakeholder expectations in a preliminary scope statement.

5. Which of the following lists the inputs and the tools and techniques that the two processes within the Initiating process group share?
   A. Project SOW, enterprise environment factors, organizational process assets, project selection methods, and expert judgment
   B. Enterprise environment factors, organizational process assets, PMIS, and expert judgment
   C. Project SOW, enterprise environment factors, organizational process assets, project management methodology, PMIS, and expert judgment
   D. Project SOW, enterprise environment factors, and organizational process assets

6. According to the *PMBOK Guide*, the project statement of work should contain or reference all the following elements except for which one?
   A. Strategic plan, product scope description, stakeholder influences, and business need
   B. Business need, strategic plan, product scope description
   C. Project purpose, business case, stakeholder influences, product scope description
   D. Requirements, business need, stakeholder expectations

7. Your nonprofit organization is preparing to host its first annual 5K run/walk in City Park. You worked on a similar project for the organization two years ago when it cohosted the 10K run through Overland Pass. Which of the organizational process assets might be helpful to you on your new project?
   A. The strategic plan, because you'll want to make sure the project reflects the overall strategic direction of the organization
   B. Historical information on the 10K run project
   C. The project SOW, which describes the high-level details of the run/walk program
   D. The organization's PMIS system

8. Which of the following is true regarding product scope descriptions?
   A. The product scope description is a component of the output of the Develop Project Charter process. It describes the characteristics of the product, service, or result and contains a good deal of detail in the later phases of the project.
   B. The product description is a component of the output of the Preliminary Scope Statement process. It describes the characteristics of the product, service, or result and contains less detail in the early phases of the project.
   C. The product description is a component of an input of the Preliminary Scope Statement process. It describes the characteristics of the product, service, or result and contains a good deal of detail in the early phases of the project.
   D. The product description is a component of an input of the Develop Project Charter process. It describes the characteristics of the product, service, or result and contains less detail in the early phases of the project.

9. Comparative methods, scoring methods, and economic and cash flow analysis are all part of which of the following?
   A. Benefit measurement methods, which are a component of a tool and technique in the Develop Project Charter process
   B. Constrained optimization methods, which are a component of a tool and technique in the Preliminary Scope Statement process
   C. Benefit measurement methods, which are a component of an input to the Develop Project Charter process
   D. Mathematical modes, which are a component of an input to the Preliminary Scope Statement process

10. You are the project manager for the Late Night Smooth Jazz Club chain, with stores in 12 states. Smooth Jazz is considering opening a new club in Arizona or Nevada. You have derived the following information:

    Project Arizona: The payback period is 18 months, and the NPV is <250>.

    Project Nevada: The payback period is 24 months, and the NPV is 300.

    Which project would you recommend to the selection committee?
    A. Project Arizona, because the payback period is shorter than the payback period for Project Nevada
    B. Project Nevada, because its NPV is a positive number
    C. Project Arizona because its NPV is a negative number
    D. Project Nevada, because its NPV is a higher number than Project Arizona's NPV

11. You are the project manager for the Late Night Smooth Jazz Club chain, with stores in 12 states. Smooth Jazz is considering opening a new club in Kansas City or Spokane. You have derived the following information:

    Project Kansas City: The payback period is 27 months, and the IRR is 35 percent.

    Project Spokane: The payback period is 25 months, and the IRR is 32 percent.

Which project should you recommend to the selection committee?

A. Project Spokane, because the payback period is the shortest
B. Project Kansas City, because the IRR is the highest
C. Project Spokane, because the IRR is the lowest
D. Project Kansas City, because the payback period is the longest

12. Which of the following is true regarding NPV?
    A. NPV assumes reinvestment at the cost of capital.
    B. NPV decisions should be made based on the highest value for all the selections.
    C. NPV assumes reinvestment at the prevailing rate.
    D. NPV assumes reinvestment at the NPV rate.

13. You are the project manager for Insomniacs International. Since you don't sleep much, you get a lot of project work done. You're considering recommending a project that costs $575,000; expected inflows are $25,000 per quarter for the first two years and then $75,000 per quarter thereafter. What is the payback period?
    A. 40 months
    B. 38 months
    C. 39 months
    D. 41 months

14. Which of the following is true regarding IRR?
    A. IRR assumes reinvestment at the cost of capital.
    B. IRR is the discount rate when NPV is greater than zero.
    C. IRR is a constrained optimization method.
    D. IRR is the discount rate when NPV is equal to zero.

15. Mathematical models using linear, dynamic, integer, or algorithm models are considered
    A. Project selection criteria
    B. A form of expert judgment
    C. Project selection methods
    D. A form of historical information

16. Your project selection committee used a weighted scoring model and found that Project B, with a score of 54, should be chosen over the other competing projects. Which of the following is true?
    A. Weighted scoring models are benefit measurement methods, which are used as a tool and technique during the Develop Project Charter process.
    B. Weighted scoring models are constrained optimization methods, which are used as a tool and technique in both Initiating process group processes.
    C. Weighted scoring models are benefit measurement methods and are the least efficient method of project selection.
    D. Weighted scoring models are a type of mathematical model that can be used both for project selection and vendor selection.

17. Your selection committee is debating between two projects. Project A has a payback period of 18 months. Project B has a cost of $125,000, with expected cash inflows of $50,000 the first year and $25,000 per quarter after that. Which project should you recommend?
    A. Either Project A or Project B, because the payback periods are equal
    B. Project A, because Project B's payback period is 21 months
    C. Project A, because Project B's payback period is 24 months
    D. Project A, because Project B's payback period is 20 months

18. Which of the following is true?
    A. Discounted cash flow analysis is the least precise of the cash flow techniques, because it does not consider the time value of money.
    B. NPV is the least precise of the cash flow analysis techniques, because it assumes reinvestment at the discount rate.
    C. Payback period is the least precise of the cash flow analysis techniques, because it does not consider the time value of money.
    D. IRR is the least precise of the cash flow analysis techniques, because it assumes reinvestment at the cost of capital.

19. You are a project manager for Zippy Tees. Your selection committee has just chosen a project you recommended for implementation. Your project is to manufacture a line of miniature stuffed bears that will be attached to your company's trendy T-shirts. The bears will be wearing the same T-shirt design as the shirt to which they're attached. Your project sponsor thinks you've really impressed the big boss and wants you to skip to the manufacturing process right away. What is your response?
    A. Agree with the project sponsor because that person is your boss and has a lot of authority and power in the company.
    B. Require that a preliminary budget be established and a resource list be put together to alert other managers of the requirements of this project. This should be published and signed by the other managers who are impacted by this project.
    C. Require a project charter be written and signed off on by all stakeholders before proceeding.
    D. Suggest that a preliminary scope statement be written because this will outline the objectives of the project and greatly assist in the development of the scope statement in the Planning processes.

20. Which of the following is true regarding the project charter?
    A. The project charter should be published under the name of a manager external to the project.
    B. The project charter should be published under the project sponsor's name.
    C. The project charter should be published under the name of the project manager.
    D. The project charter should be published under the name of the project champion.

Review Questions

1. You are a project manager for Laredo Pioneer's Traveling Rodeo Show. You're heading up a project to promote a new line of souvenirs to be sold at the shows. You are getting ready to write the project management plan and know that all the following are true regarding the PMIS, except for one. Which of the following is true?
   A. The PMIS is a tool and technique of the Scope Planning process.
   B. The configuration management system is a subsystem of the PMIS.
   C. The PMIS includes a change control system.
   D. The PMIS is an automated system.
2. Which of the following is true?
   A. You are a project manager for Laredo Pioneer's Traveling Rodeo Show. You're heading up a project to promote a new line of souvenirs to be sold at the shows. You're ready to document the processes you'll use to perform the project as well as define how the project will be executed, controlled, and closed. You are working on the project scope management plan.
   B. You are a project manager for Laredo Pioneer's Traveling Rodeo Show. You're heading up a project to promote a new line of souvenirs to be sold at the shows. You're ready to document the processes you'll use to perform the project as well as define how the project will be executed, controlled, and closed. You are working on the product scope statement.
   C. You are a project manager for Laredo Pioneer's Traveling Rodeo Show. You're heading up a project to promote a new line of souvenirs to be sold at the shows. You're ready to document the processes you'll use to perform the project as well as define how the project will be executed, controlled, and closed. You are working on the project management plan.
   D. You are a project manager for Laredo Pioneer's Traveling Rodeo Show. You're heading up a project to promote a new line of souvenirs to be sold at the shows. You're ready to document the processes you'll use to perform the project as well as define how the project will be executed, controlled, and closed. You are working on the project scope statement.
3. You are a project manager responsible for the construction of a new office complex. You are taking over for a project manager who recently left the company. The prior project manager completed the scope statement and scope management plan for this project. In your interviews with some key team members, you conclude which of the following?
   A. They understand that the scope statement assesses the stability of the project scope and outlines how scope will be verified and used to control changes.
   B. They understand that the scope management plan describes how project scope will be defined and verified and used to control project scope.
   C. They understand that the scope management plan is deliverables oriented and includes cost estimates and stakeholder needs and expectations.
   D. They understand that the scope statement describes how the high-level deliverables and requirements will be defined and verified.

4. Some of the functions of this process include describing the methods for executing the work of the project to fulfill the project objectives, documenting dependencies and interactions among the processes, determining the validity of and maintaining the performance baselines, and determining key management reviews for pending decisions. Which of the following does this describe? Choose the best answer.
   A. This process belongs to the Project Scope Management Knowledge Area.
   B. The output of the process is the project scope management plan.
   C. The project charter is an input of the process.
   D. The project scope management plan and quality management plan are two examples of the subsidiary plans contained in the output of the process.
5. Which of the following is true regarding the project scope statement?
   A. The project scope statement includes a change control system that describes how to make changes to the project scope.
   B. The project scope further elaborates the Initiating processes and serves as a basis for future project decisions.
   C. The project scope statement describes how the team will define and develop the work breakdown structure.
   D. The project scope statement assesses the reliability of the project scope and describes the process for verifying and accepting completed deliverables.
6. You are a project manager for an agricultural supply company. You have just completed and obtained sign-off on the project scope statement for your new Natural Bug Busters project. A key stakeholder has informed you that a deliverable is missing from the project scope statement. This deliverable is a critical success factor. Which of the following actions should you take?
   A. Inform the stakeholder that work not stated in the scope statement is excluded from the project.
   B. Modify the scope statement to reflect the new deliverable.
   C. Inform the stakeholder that this deliverable must be included in phase two of this project since sign-off has already been obtained.
   D. Modify the scope statement after an approved change request has been received from the stakeholder.
7. Your company has asked you to be the project manager for the product introduction of its new DeskTop Rock media system. You recently published a document that establishes the detailed project deliverables. Which of the following is true?
   A. This is the project scope statement, which is an output of the Scope Definition process.
   B. This is the scope management plan, which is an output of the Scope Planning process.
   C. This is the project scope statement, which is an output of the Scope Planning process.
   D. This is the scope management plan, which is an output of the Scope Definition process.

8. Which of the following statements is true regarding brainstorming and lateral thinking?
   A. They are forms of expert judgment used to help define and develop the project scope statement.
   B. They are used to elaborate the product scope description, which is an element of the output of the Scope Planning process.
   C. They are organizational process assets that are used to help define and develop the project management plan.
   D. They are an alternatives identification technique, which is a tool and technique of the Scope Definition process.

9. Your company has asked you to be the project manager for the product introduction of its new DeskTop Rock media system. You recently published the project scope statement. Which of the following is not contained in the project scope statement?
   A. Constraints
   B. Project specifications
   C. Requested changes
   D. Project configuration management requirements

10. You are a project manager for Giraffe Enterprises. You've recently taken over for a project manager who lied about his PMI certification and was subsequently fired. Unfortunately, he did a poor job of scope definition. Which of the following could happen if you don't correct this?
    A. The stakeholders will require overtime from the project team to keep the project on schedule.
    B. The poor scope definition will adversely affect the creation of the work breakdown structure, and costs will increase.
    C. The project management plan's process for verification and acceptance of the deliverables needs to be updated as a result of the poor scope definition.
    D. The project costs could increase, there might be rework, and schedule delays might result.

11. You work for a large manufacturing plant. You're working on a new project for an overseas product release. This is the company's first experience in the overseas market, and it wants to make a big splash with the introduction of this product. The project entails producing your product in a concentrated formula and packaging it in smaller containers than the U.S. product uses. A new machine is needed in order to mix the first set of ingredients in the concentrated formula. Which of the following is true?
    A. The new machine, the concentrated formula, and the smaller package are all project constraints.
    B. The new machine, the concentrated formula, and the smaller package description must be incorporated into the product description document.
    C. The new machine, the concentrated formula, and the smaller package are all project assumptions.
    D. The new machine, the concentrated formula, and the smaller package are all considered deliverables.

12. Objectives can be described as all of the following except for which one? Choose the least correct answer.
    A. The purpose for undertaking the project
    B. The functionality and specific conditions that must be met in order to satisfy the project, contract, standard, or specification
    C. The monetary units used to express the cost criteria for the project
    D. The quantifiable results used to measure project success that should include schedule, cost, and quality criteria

13. You are a project manager working on a new software product your company plans to market to businesses. The project sponsor told you that the project must be completed by September 1. The company plans to demo the new software product at a trade show in late September and therefore needs the project completed in time for the trade show. However, the sponsor has also told you that the budget is fixed at $85,000, and it would take an act of Congress to get it increased. You must complete the project within the given time frame and budget. Which of the following is the primary constraint for this project?
    A. Budget
    B. Scope
    C. Time
    D. Schedule

14. All of the following are true regarding stakeholder analysis except for which one?
    A. It's a tool and technique of the Scope Definition process.
    B. It determines communication needs and methods for updating stakeholders.
    C. It documents the needs, wants, and expectations of the stakeholders.
    D. It prioritizes and quantifies needs and wants to create project requirements.

15. You are in the process of translating project objectives into tangible deliverables and requirements. All the following are techniques used in the product analysis tool and technique of the Scope Definition process, except for which one?
    A. Value engineering and value analysis
    B. Product configuration and specification analysis
    C. Systems analysis and systems engineering
    D. Product breakdown and functional analysis

16. You are a project manager for a documentary film company. In light of a recent regional tragedy, the company president wants to get a new documentary on the rescue efforts of the heroic rescue teams to air as soon as possible. She's looking to you to make this documentary the best that has ever been produced in the history of this company. She guarantees you free rein to use whatever resources you need to get this project done quickly. However, the best photographer in the company is currently working on another assignment. Which of the following is true?
    A. The primary constraint is time because the president wants the film done quickly. She told you to get it to air as soon as possible.
    B. Resources are the primary constraint. Even though the president has given you free rein on resource use, you assume she didn't mean those actively assigned to projects.
    C. The schedule is the primary constraint. Even though the president has given you free rein on resource use, you assume she didn't mean those actively assigned to projects. The photographer won't be finished for another three weeks on his current assignment, so schedule adjustments will have to be made.
    D. The primary constraint is quality because the president wants this to be the best film ever produced by this company. She's given you free rein to use whatever resources needed to get the job done.

17. Your project depends on a key deliverable from a vendor you've used several times before with great success. You're counting on the delivery to arrive on June 1. This is an example of a/an
    A. constraint
    B. objective
    C. assumption
    D. requirement

18. What limits the options of the project team?
    A. Technology
    B. Constraints
    C. Deliverables
    D. Assumptions

19. Your company provides answering services for several major catalog retailers. The number of calls coming into the service center per month has continued to increase over the past 18 months. The phone system is approaching the maximum load limits and needs to be upgraded. You've been assigned to head up the upgrade project. Based on the company's experience with the vendor who worked on the last phone upgrade project, you're confident they'll be able to assist you with this project as well. Which of the following is true?
    A. You've made an assumption about vendor availability and expertise. The project came about because of a business need.
    B. Vendor availability and expertise are constraints. The project came about because of a business need.
    C. You've made an assumption about vendor availability and expertise. The project came about because of a market demand.
    D. Vendor availability and expertise are constraints. The project came about because of a market demand.

20. You are a project manager for Giraffe Enterprises. You've recently taken over for a project manager who lied about his PMI certification and was subsequently fired. Unfortunately, he didn't create a project charter or a preliminary scope statement. You are ready to elaborate the deliverables and requirements of the project and know that you can use one of the following in place of the charter or preliminary scope statement. Which one can you use?
    A. Business justification
    B. Product scope description
    C. Strategic plan
    D. Expert judgment

Review Questions

1. Which of the following makes up the project scope baseline?
   A. The project scope statement
   B. The scope management plan and WBS
   C. The WBS, project scope statement, and WBS dictionary
   D. The scope management plan, the WBS, and the WBS dictionary

2. You are working on a project that is similar in scope to a project performed last year by your company. You might consider which of the following?
   A. Using the previous project's alternatives identification as a template
   B. Reusing the previous project's cost-benefit analysis as justification for this project
   C. Using the previous project's WBS as a template
   D. Reusing the previous project's product description when writing the scope statement

3. Your company, Kick That Ball Sports, has appointed you project manager for its new Cricket product line introduction. This is a national effort, and all the retail stores across the country need to have the new products on the shelves before the media advertising blitz begins. The product line involves three new products, two of which will be introduced together and a third one that will follow within two years. You are ready to create the WBS. All of the following are true expect for which one?
   A. Each of the three products should be elaborated to the same number of levels. This is known as rolling wave planning.
   B. The WBS should be elaborated to a level where costs and schedule are easily estimated. This is known as the work package level.
   C. The WBS can be structured using each product as a level-one entry.
   D. Each level of the WBS represents verifiable products or results.

4. Your company, Kick That Ball Sports, has appointed you project manager for its new Cricket product line introduction. This is a national effort, and all the retail stores across the country need to have the new products on the shelves before the media advertising blitz begins. The product line involves three new products, two of which will be introduced together and a third one that will follow within two years. Product number three will be elaborated in more detail closer to the product's release date, while the first two products will be elaborated in great detail now. The scope management plan has just been completed. Which of the following is true? (Choose the best response.)
   A. Only the deliverables associated with the work of the project should be listed on the WBS. Since product number three isn't being released until a later date it should not yet be included on the WBS.
   B. The WBS template from a previous project, a tool and technique of the Create WBS process, was used to create the WBS for this project. The WBS encompasses the major deliverables for the project.
   C. The WBS should be created next, and it encompasses the full scope of work for the project. Only the work of the project is listed on the WBS.
   D. The WBS encompasses the full scope of work for the project and the technique in the question is called rolling wave planning.

5. You work for a large manufacturing plant. You are working on a new project to release an overseas product line. This is the company's first experience in the overseas market, and it want to make a big splash with the introduction of this product. The project entails producing your product in a concentrated formula and packaging it in smaller containers than the U.S. product uses. A new machine is needed in order to mix the ingredients into a concentrated formula. To complete the Create WBS process sufficiently, you decide to do which of the following?
   A. Use the organizational breakdown structure and the WBS together, and present this scope baseline to stakeholders.
   B. Record the code of account identifier, an SOW, responsible organization, and milestone schedule in the WBS dictionary for the components of the WBS.
   C. Elaborate the WBS to the point where the new machine specifications are clear and highly detailed.
   D. Record the approved change requests as one of the outputs of this process.

6. You are the project manager for Lucky Stars nightclubs. They specialize in live country and western band performances. Your newest project is in the Planning process group. You've published the scope statement and scope management plan. The document that describes who will receive copies of this information as well as future project information, how it should be distributed, and who will prepare it is which of the following?
   A. Scope management plan
   B. Communications management plan
   C. Information distribution plan
   D. Project charter

7. You are the project manager for Lucky Stars nightclubs. They specialize in live country and western band performances. Your newest project is in the Planning processes group. You are working on the WBS. The finance manager has given you a numbering system to assign to the WBS. Which of the following is true?
   A. The numbering system is a unique identifier known as the code of accounts, which is used to track the costs of the WBS elements.
   B. The numbering system is a unique identifier known as the WBS dictionary, which is used to track the descriptions of individual work elements.
   C. The numbering system is a unique identifier known as the code of accounts, which is used to track time and resource assignments for individual work elements.
   D. The numbering system is a unique identifier known as the WBS dictionary, which is used to assign quality control codes to the individual work elements.
8. You've constructed the WBS for your recent project. You've requested that the subproject managers report to you in three weeks with each of their individual WBSs constructed. Which statement is not true regarding the subproject managers' WBS?
   A. The work package level facilitates resource assignments.
   B. The work package level is the lowest level in the WBS.
   C. The work package level defines the agreed-upon deliverables.
   D. The work package level facilitates cost and time estimates.
9. Which of the following statements about decomposition is the least true?
   A. Decomposition involves structuring and organizing the WBS so that deliverables are always listed at level one.
   B. Decomposition requires a degree of expert judgment and also requires close analysis of the project scope statement.
   C. Decomposition is a tool and technique used to create a WBS.
   D. Decomposition subdivides the major deliverables into smaller components until the work package level is reached.
10. Which of the following is not a major step of decomposition?
   A. Identify major deliverables.
   B. Identify components.
   C. Determine adequate cost and schedule estimates.
   D. Verify correctness of decomposition.

11. You have eight key stakeholders to communicate with on your project. Which of the following is true?
   A. There are 36 channels of communication, and this should be a consideration when using the communications technology tool and technique.
   B. There are 28 channels of communication, and this should be a consideration when using the communications requirements analysis tool and technique.
   C. There are 28 channels of communication, and this should be a consideration when using the communications technology tool and technique.
   D. There are 36 channels of communication, and this should be a consideration when using the communications requirements analysis tool and technique.
12. All of the following are true regarding Communications Planning except for which one?
   A. It's the only output of the Communications Planning process.
   B. It should be completed as early in the project phases as possible.
   C. It's tightly linked with enterprise environmental factors and organizational influences, and lessons learned and historical information are two inputs that should get a lot of attention during this process.
   D. Communications requirements analysis, communications technology, and PMIS are tools and techniques of this process.
13. All of the following are true regarding the Quality Planning process except for which one?
   A. DOE is a tool and technique of this process that provides statistical analysis for changing product or process elements one at a time to optimize the process.
   B. This is one of the key processes performed during the Planning process group and during the development of the project management plan.
   C. Changes to the product as a result of meeting quality standards might require cost or schedule adjustments.
   D. The tools and techniques of this process are cost-benefit analysis, benchmarking, DOE, COQ, and additional quality planning tools.
14. Four people are responsible for establishing cost of quality theories. Crosby and Juran are two them, and their theories respectively are
   A. grades of quality, fitness for use
   B. fitness for use, zero defects
   C. zero defects, fitness for use
   D. cost of quality, zero defects
15. The theory that 85 percent of the cost of quality is a management problem is attributed to which of the following?
   A. Deming
   B. Shewhart
   C. Juran
   D. Crosby

16. All of the following are benefits of meeting quality requirements except which one?
    A. An increase in stakeholder satisfaction
    B. Less rework
    C. Low turnover
    D. Higher productivity

17. Which of the following describes the cost of quality associated with scrapping, rework, and downtime?
    A. Internal failure costs
    B. External failure costs
    C. Prevention costs
    D. Appraisal costs

18. The quality management plan documents how the project team will implement the quality policy. It must address all of the following except which one?
    A. Quality control
    B. Quality checklists
    C. Quality assurance
    D. Continuous process improvement

19. You work for a furniture manufacturer. Your project is going to design and produce a new office chair. The chair will have the ability to function as a regular chair and also the ability to transform its occupant into an upright, kneeling position. The design team is trying to determine the combination of comfort and ease of transformation to the new position that will give the chair the best characteristics while keeping the costs reasonable. Several different combinations have been tested. This is an example of which of the following tools and techniques of Quality Planning?
    A. Benchmarking
    B. Quality metrics
    C. COQ
    D. DOE

20. Which of the following best characterizes Six Sigma?
    A. Stipulates that quality must be managed in
    B. Focuses on process improvement and variation reduction by using a measurement-based strategy
    C. Asserts that quality must be a continuous way of doing business
    D. Focuses on improving the quality of the people first, then improving the quality of the process or project

Review Questions

1. You are a project manager for Fountain of Youth Spring Water bottlers. Your project involves installing a new accounting system, and you're performing the risk-planning processes. You have identified several problems along with the causes of those problems. Which of the following diagrams will you use to show the problem and its causes and effects?
    A. Decision tree diagram
    B. Fishbone diagram
    C. Benchmark diagram
    D. Simulation tree diagram

2. The process of assessing the probability and consequences of identified risks to the project objectives, assigning a risk score to each risk, and creating a list of prioritized risks describes which of the following processes?
    A. Quantitative Risk Analysis
    B. Risk Identification
    C. Qualitative Risk Analysis
    D. Risk Management Planning

3. Each of the following statements is true regarding the risk management plan except for which one?
    A. The risk management plan is an output of the Risk Management Planning process.
    B. The risk management plan includes a description of the responses to risks and triggers.
    C. The risk management plan includes thresholds, scoring and interpretation methods, responsible parties, and budgets.
    D. The risk management plan is an input to all the remaining risk-planning processes.

4. You are using the interviewing technique of the Quantitative Risk Analysis process. You intend to use normal and lognormal distributions. All of the following statements are true regarding this question except which one?
    A. Interviewing techniques are used to quantify the probability and impact of the risks on project objectives.
    B. Normal and lognormal distributions use mean and standard deviation to quantify risks.
    C. Distributions graphically display the impacts of risk to the project objectives.
    D. Triangular distributions rely on optimistic, pessimistic, and most likely estimates to quantify risks.

5. The information-gathering techniques used in the Risk Identification process include all of the following except _____.
   A. root cause identification
   B. the Delphi technique
   C. SWOT analysis
   D. checklist analysis

6. Which of the following processes assesses the likelihood of risk occurrences and their consequences using a numerical rating?
   A. Qualitative Risk Analysis
   B. Risk Identification
   C. Quantitative Risk Analysis
   D. Risk Response Planning

7. You are the project manager for a new website for the local zoo. You need to perform Qualitative Risk Analysis. When you've completed this process, you'll produce all of the following as part of the risk register update output except which one?
   A. Priority list of risks
   B. Watch list of low-priority risks
   C. Probability of achieving time and cost estimates
   D. Risks grouped by categories

8. You've identified a risk event on your current project that could save $100,000 in project costs if it occurs. Which of the following is true based on this statement? (Choose the best answer.)
   A. This is a risk event that should be accepted, because the rewards outweigh the threat to the project.
   B. This risk event is an opportunity to the project and should be exploited.
   C. This risk event should be mitigated to take advantage of the savings.
   D. This a risk event that should be shared to take full advantage of the potential savings.

9. You've identified a risk event on your current project that could save $500,000 in project costs if it occurs. Your organization is considering hiring a consulting firm to help establish proper project management techniques in order to assure it realizes these savings. Which of the following is true based on this statement? (Choose the best answer.)
   A. This is a risk event that should be accepted, because the rewards outweigh the threat to the project.
   B. This risk event is an opportunity to the project and should be exploited.
   C. This risk event should be mitigated to take advantage of the savings.
   D. This a risk event that should be shared to take full advantage of the potential savings.

10. Your hardware vendor left you a voicemail saying that a snowstorm in the Midwest might prevent your equipment from arriving on time. She wanted to give you a heads-up and asked that you return the call. Which of the following statements is true? (Choose the best answer.)
    A. This is a trigger.
    B. This is a contingency plan.
    C. This is a residual risk.
    D. This is a secondary risk.

11. You are constructing a probability and impact matrix for your project. Which of the following statements is true?
    A. The probability and impact matrix multiplies the risk's probability by the cost of the impact to determine an expected value of the risk event.
    B. The probability and impact matrix multiplies the risk's probability—which fall from 0.0 to 1.0—and the risk's impact and then adds them together to determine a risk score.
    C. The probability and impact matrix multiplies the risk's probability by the expected value of the risk event to determine a risk score based on a predetermined threshold.
    D. The probability and impact matrix multiplies the risk's probability by the risk impact—which both fall from 0.0 to 1.0—to determine a risk score.

12. Your stakeholders have asked for an analysis of the cost risk. All of the following are true except for which one?
    A. Monte Carlo analysis is the preferred method to use to determine the cost risk.
    B. Monte Carlo analysis is a modeling technique.
    C. A traditional work breakdown structure can be used as an input variable for the cost analysis.
    D. A cost breakdown structure can be used as an input variable for the cost analysis.

13. Your hardware vendor left you a voicemail saying that a snowstorm in the Midwest will prevent your equipment from arriving on time. You identified a risk response strategy for this risk and have arranged for a local company to lease you the needed equipment until yours arrives. This is an example of which risk response strategy?
    A. Transfer
    B. Acceptance
    C. Mitigate
    D. Avoid

14. All of the following are elements of inputs of the Risk Identification process that you should evaluate except for which one?
    A. Assumptions analysis
    B. Historical information
    C. Roles and responsibilities
    D. Industry information

15. You work for a large manufacturing plant. You are working on a new project to release an overseas product line. This is the company's first experience in the overseas market, and it wants to make a big splash with the introduction of this product. The stakeholders are a bit nervous about the project and historically proceed cautiously and take a considerable amount of time to examine information before making a final decision. The project entails producing your product in a concentrated formula and packaging it in smaller containers than the U.S. product uses. A new machine is needed in order to mix the ingredients into a concentrated formula. After speaking with one of your stakeholders, you discover this will be the first machine your organization has purchased from your new supplier. Which of the following statements is true given the information in this question?
    A. The question describes risk tolerance levels of the stakeholders, which should be considered as an input to the Risk Management Planning process.
    B. This question describes the interviewing tool and technique used during the Risk Identification process.
    C. This question describes risk triggers that are derived using interviewing techniques and recorded in the risk register during the Qualitative Risk Analysis process.
    D. This question describes a risk that requires a response strategy from the positive risk category.

16. Your project team has identified several potential risks on your current project that could have a significant impact if they occurred. The team examined the impact of the risks by keeping all the uncertain elements at their baseline values. What type of diagram will the team use to display this information?
    A. Fishbone diagram
    B. Tornado diagram
    C. Influence diagram
    D. Process flowchart

17. Your project team is in the process of identifying project risks on your current project. The team has the option to use all of the following tools and techniques to diagram some of these potential risks except for which one?
    A. Ishikawa diagram
    B. Decision tree diagram
    C. Process flowchart
    D. Influence diagram

18. All of the following statements are true regarding the RBS except for which one?
    A. The RBS is contained in the risk management plan.
    B. It describes risk categories, which are a systematic way to identify risks and provide a foundation for understanding for everyone involved on the project.
    C. The lowest level of the RBS can be used as a checklist, which is a tool and technique of the Risk Identification process.
    D. The RBS is similar to the WBS in that the lowest levels of both are easily assigned to a responsible party or owner.

19. Your team has identified the risks on the project and determined their risk score. The team is in the midst of determining what strategies to put in place should the risks occur. After some discussion, the team members have determined that the risk of losing their network administrator is a risk they'll just deal with if and when it occurs. Although they think it's a possibility and the impact would be significant, they've decided to simply deal with it after the fact. Which of the following is true regarding this question?
    A. This is a negative response strategy.
    B. This is a positive response strategy.
    C. This is a response strategy for either positive or negative risk known as *contingency planning*.
    D. This is a response strategy for either positive or negative risks known as *passive acceptance*.

20. All of the following are true regarding the Qualitative Risk Analysis process except which one?
    A. Probability and impact and expert interview are used to help correct biases that occur in the data you've gathered during this process.
    B. The probability and impact matrix is used during this process to assign red, yellow, and green conditions to risks.
    C. Qualitative Risk Analysis is an easy method of determining risk probability and impact that usually takes a good deal of time to perform.
    D. Risk urgency assessment is a tool and technique of this process used to determine which risks need near-term response plans.

Review Questions

1. You are the project manager for an upcoming outdoor concert event. You're working on the procurement plan for the computer software program that will control the lighting and screen projections during the concert. You're comparing the cost of purchasing a software product to the cost of your company programmers writing a custom software program. You are engaged in which of the following?
   A. Procurement planning
   B. Using expert judgment
   C. Creating the procurement management plan
   D. Make-or-buy analysis

2. You are the project manager for an outdoor concert event scheduled for one year from today. You're working on the procurement plan for the computer software program that will control the lighting and screen projections during the concert. You've decided to contract with a professional services company that specializes in writing custom software programs. You want to minimize the risk to the organization, so you'll opt for which contract type?
   A. Fixed price plus incentive
   B. Cost plus fixed fee
   C. Fixed price
   D. Cost plus incentive

3. You are the project manager for the Heart of Texas casual clothing company. It's introducing a new line of clothing called Black Sheep Ranch Wear. You will outsource the production of this clothing line to a vendor. The vendor has requested a contract SOW. All of the following statements are true except for which one?
   A. The SOW contains a description of the new clothing line.
   B. As the purchaser, you are required to write the SOW.
   C. The SOW contains the objectives of the project.
   D. The vendor requires a SOW to determine whether it can produce the clothing line given the detailed specifications of this product.

4. You are the project manager for the Heart of Texas casual clothing company. It's introducing a new line of clothing called Black Sheep Ranch Wear. You will outsource the production of this clothing line to a vendor. Your legal department has recommended you use a contract that reimburses the seller's allowable costs and builds in a bonus based on performance criteria they've outlined in their memo. Which of the following contract types will you use?
   A. CPIF
   B. CPFF
   C. CPF
   D. CPPC

5. All of the following statements are true regarding the Human Resource Planning process except for which one?
   A. Human Resource Planning involves determining roles and responsibilities.
   B. One of the Human Resource Planning outputs includes project organization charts that show the project's reporting relationships.
   C. The staffing management plan created in this process describes how and when resources will be acquired and released.
   D. A RAM (or RACI chart) is an output of this process that allows you to see all the people assigned to an activity.

6. Sally is a project manager working on a project that will require a specially engineered machine. Only three manufacturers can make the machine to the specifications Sally needs. The price of this machine is particularly critical to this project. The budget is limited, and there's no chance of securing additional funds if the bids for the machine come in higher than budgeted. She's developing the evaluation criteria for the bidders' responses and knows all of the following are true except for which one?
   A. Sally will use standard contract forms provided by her procurement department to write the contract for this machine.
   B. Sally will review the project management plan, including the risk register, as inputs to this process.
   C. Sally will base the evaluation criteria on price alone since the budget is a constraint.
   D. Sally will update the contract statement of work with any new information.

7. Which of the following are constraints that you might find during the Human Resource Planning process?
   A. Organizational structures, collective bargaining agreements, and economic conditions
   B. Organizational structures, technical interfaces, and interpersonal interfaces
   C. Organizational interfaces, collective bargaining agreements, and economic conditions
   D. Organizational interfaces, technical interfaces, and interpersonal interfaces

8. You are the project manager for a scheduled version release of your company's software tracking product. You have identified resources according to their activities. You might want to display this information in which of the following?
   A. AON
   B. PDM
   C. AOA
   D. RAM

9. All of the following statements describe the activity list except which one?
   A. The activity list is an output of the Activity Definition process.
   B. The activity list includes all activities of the project.
   C. The activity list is an extension of and a component of the WBS.
   D. The activity list includes an identifier and description of the activity.

10. You are the project manager for Design Your Web Site, Inc. Your company is designing the website for a national grocery store chain. You have your activity list in hand and are ready to diagram the activity dependencies using the PDM technique. Which of the following statements is true?
   A. PDM is also the AON diagramming method.
   B. PDM is also the AOA diagramming method.
   C. PDM is also the ADM diagramming method.
   D. PDM is also the AND diagramming method.

11. You are the project manager for Design Your Web Site, Inc. Your company is designing the website for a national grocery store chain. You have your activity list in hand and several alternative time estimates for each activity and are ready to diagram the activity dependencies. You should use which of the following?
   A. PDM techniques
   B. PDM or ADM techniques
   C. AON techniques
   D. ADM techniques

12. You are the project manager for Changing Tides video games. You have produced a project schedule network diagram and have updated the activity list. Which process have you just finished?
   A. The Activity Sequencing process, which identifies all the specific activities of the project
   B. The Activity Sequencing process, which identifies all the activity dependencies
   C. The Activity Definition process, which diagrams project network time estimates
   D. The Activity Definition process, which identifies all the activity attributes

13. You are working on a project that requires resources with expertise in the areas of hospitality management and entertainment. You are preparing your project schedule network diagram and know that you will use only finish-to-start dependencies. Which of the following diagramming methods does this describe?
   A. PDM
   B. ADM
   C. AON
   D. Network template

14. You have been hired as a contract project manager for Grapevine Vineyards. Grapevine wants you to design an Internet wine club for its customers. Customers must register before being allowed to order wine over the Internet so that legal age can be established. You know that the module to verify registration must be written and tested using data from Grapevine's existing database. This new module cannot be tested until the data from the existing system is loaded. This is an example of which of the following?
   A. Preferential logic
   B. Soft logic
   C. Discretionary dependency
   D. Hard logic

15. Which logical relationship does the PDM use most often?
   A. Start-to-finish
   B. Start-to-start
   C. Finish-to-finish
   D. Finish-to-start

16. You have been hired as a contract project manager for Grapevine Vineyards. Grapevine wants you to design an Internet wine club for its customers. Customers must register before being allowed to order wine over the Internet so that legal age can be established. You know that the module to verify registration must be written and tested using data from Grapevine's existing database. This new module cannot be tested until the data from the existing system is loaded. You are going to hire a vendor to perform the programming and testing tasks for this module to help speed up the project schedule. Since they'll have access to your customer list and potentially other trade secrets, you'll asked them to sign a nondisclosure agreement. This is an example of which of the following?
   A. Standard form
   B. Organizational process asset
   C. Fixed cost contract
   D. Procurement documents

17. You are the project manager for BB Tops, a nationwide toy store chain. Your new project involves a creating a prototype display at several stores across the country. You are using a RACI chart to display individuals and activities. What does RACI stand for?
   A. Responsible, accountable, consult, inform
   B. Responsible, assignment, control, inform
   C. Resource, activity, control, identify
   D. Resource, accountable, consult, identify

18. This process can directly influence the project schedule.
    A. Human Resource Planning
    B. Plan Purchases and Acquisitions
    C. Activity Sequencing
    D. Plan Contracting

19. You are the project manager for BB Tops, a nationwide toy store chain. Your new project involves a creating a prototype display at several stores across the country. You are hiring a contractor for portions of the project. The contract stipulates that you'll pay all allowable costs and an 8 percent fee over and above the allowable costs at the end of the contract. All of the following describe this type of contract except for which one?
    A. CPPC
    B. CPIF
    C. CPF
    D. Cost-reimbursable contract

20. This process uses tools like decomposition and rolling-wave planning to produce the activity list and other outputs. Because of the purpose of this process, which of the following is considered its primary input?
    A. WBS
    B. Project management plan
    C. PMIS (as part of enterprise environmental factors)
    D. Constraints and assumptions

Review Questions

1. You are the project manager for Changing Tides video games. You have gathered the inputs for the Activity Duration Estimating process. Which of the following tools and techniques will you employ to produce the outputs for this process?
    A. Activity list, expert judgment, alternatives analysis, project management software, and bottom-up estimating
    B. Activity list, expert judgment, published estimating data, and project management software
    C. Expert judgment, alternatives analysis, published estimating data, project management software, and bottom-up estimating
    D. Expert judgment, alternatives analysis, published estimating data, and bottom-up estimating

2. Your project sponsor has requested a cost estimate for the project on which you're working. This project is similar in scope to a project you worked on last year. She would like to get the cost estimates as soon as possible. Accuracy is not her primary concern right now. She needs a ballpark figure by tomorrow. You decide to use _____.
    A. analogous estimating techniques
    B. bottom-up estimating techniques
    C. parametric modeling techniques
    D. computerized modeling techniques

3. Your project's primary constraint is quality. To make certain the project team members don't feel too pressed for time and to avoid schedule risk, you decide to use which of the following activity estimating tools?
    A. Expert judgment
    B. Quantitatively based durations
    C. Reserve analysis
    D. Analogous estimating

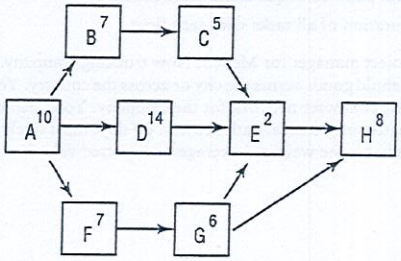
4. You have been hired as a contract project manger for Grapevine Vineyards. Grapevine wants you to design an Internet wine club for its customers. One of the activities for this project is the installation and testing of several new servers. You know from past experience it takes about 16 hours per server to accomplish this task. Since you're installing 10 new servers, you estimate this activity to take 160 hours. Which of the estimating techniques have you used?
    A. Analogous estimating
    B. Bottom-up estimating
    C. Parametric estimating
    D. Reserve analysis

5. Your project sponsor has requested a cost estimate for the project. She would like the cost estimate to be as accurate as possible because this might be her one and only chance to secure the budget for this project because of recent cuts in special projects. You decide to use _____.
   A. analogous estimating techniques
   B. bottom-up estimating techniques
   C. top-down estimating techniques
   D. expert judgment techniques

6. The project schedule is used to determine all of the following except which one?
   A. Cost estimates
   B. Activity start dates
   C. Float times
   D. Activity end dates

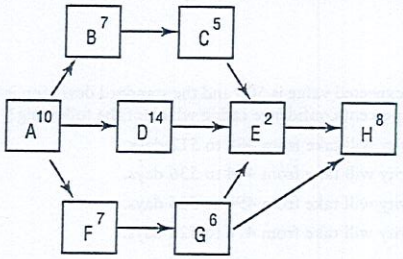
7. You are a project manager for Picture Shades, Inc. It manufactures window shades that have replicas of Renaissance-era paintings on the inside for hotel chains. Picture Shades is taking its product to the home market, and you're managing the new project. It will offer its products at retail stores as well as on its website. You're developing the project schedule for this undertaking and have determined the critical path. Which of the following statements is true?
   A. You calculated the most likely start date and most likely finish dates, float time, and weighted average estimates.
   B. You calculated the activity dependency and the optimistic and pessimistic activity duration estimates.
   C. You calculated the early and late start dates, the early and late finish dates, and float times for all activities.
   D. You calculated the optimistic, pessimistic, and most likely duration times and the float times for all activities.

8. You are a project manager for Picture Shades, Inc. It manufactures window shades that have replicas of Renaissance-era paintings on the inside for hotel chains. Picture Shades is taking its product to the home market, and you're managing the new project. It will offer its products at retail stores as well as on its website. You're developing the project schedule for this undertaking. Looking at the following graph, which path is the critical path?



   A. A-B-C-E-H
   B. A-D-E-H
   C. A-F-G-H
   D. A-F-G-E-H

9. Use the following graphic to answer this question. If the duration of activity B was changed to 10 days and the duration of activity G was changed to 9 days, which path is the critical path?



   A. A-B-C-E-H
   B. A-D-E-H
   C. A-F-G-H
   D. A-F-G-E-H

10. Which of the following statements is true regarding the critical path?
    A. It should never be compressed.
    B. It allows for looping and branching.
    C. The critical path technique is the same as PERT.
    D. It's the duration of all tasks with zero float.

11. You are a project manager for Move It Now trucking company. Your company specializes in moving household goods across the city or across the country. Your project involves upgrading the nationwide computer network for the company. Your lead engineer has given you the following estimates for a critical path activity: 60 days most likely, 72 days pessimistic, 48 days optimistic. What is the weighted average or expected value?
    A. 54
    B. 66
    C. 60
    D. 30

12. You are a project manager for Move It Now trucking company. Your company specializes in moving household goods across the city or across the country. Your project involves upgrading the nationwide computer network for the company. Your lead engineer has given you the following estimates for a critical path activity: 60 days most likely, 72 days pessimistic, 48 days optimistic. What is the standard deviation?
    A. 22
    B. 20
    C. 2
    D. 4

13. If you know expected value is 500 and the standard deviation is 12, you can say with approximately a 95 percent confidence rating which of the following?
    A. The activity will take from 488 to 512 days.
    B. The activity will take from 464 to 536 days.
    C. The activity will take from 494 to 506 days.
    D. The activity will take from 476 to 524 days.

14. If your expected value is 110 and the standard deviation is 12, which of the following is true?
    A. There is approximately a 99 percent chance of completing this activity in 86 to 134 days.
    B. There is approximately a 68 percent chance of completing this activity in 98 to 122 days.
    C. There is approximately a 95 percent chance of completing this activity in 98 to 122 days.
    D. There is approximately a 75 percent chance of completing this activity in 86 to 134 days.

15. You are the project manager working on a research project for a new drug treatment. Your preliminary project schedule runs past the due date for a federal grant application. The manager of the R&D department has agreed to release two resources to work on your project in order to meet the federal grant application date. This is an example of _____.
    A. crashing
    B. fast tracking
    C. resource leveling
    D. adjusting the resource calendar

16. You are the project manager for Rivera Gourmet Adventure Vacations. Rivera combines the wonderful tastes of great gourmet food with outdoor adventure activities. Your project involves installing a new human resources software system. Jason, the database analyst working on this project, is overallocated. Which of the following statements is true?
    A. You should use resource requirements updates to determine availability and smooth out resource overallocation.
    B. You should use crashing to resource level the critical path tasks.
    C. You should use resource leveling to smooth out resource assignments.
    D. You should use fast tracking to resource level the critical path tasks.

17. What is one of the problems with project management software?
    A. The project manager manages the software instead of the project.
    B. Project duration calculations are sometimes approximate.
    C. You cannot override the project management software decisions regarding schedules.
    D. It's expensive and difficult to use.

18. Obtaining formal project plan approval and sign-off is important for all of the following reasons except which one?
    A. Stakeholders are able to recommend a project Planning methodology to follow throughout the remaining process groups.
    B. Stakeholders are aware of the project details, which makes them more likely to participate in future project decisions.
    C. Stakeholders will be more likely to cooperate.
    D. Stakeholders are aware of the specific details regarding project schedules, budgets, and risks.

19. You are the project manager for a custom home-building construction company. You are working on the model home project for the upcoming Show Homes Tour. The model home includes Internet connections in every room and talking appliances. You are working on the cost budget for this project. All of the following statements are true except which one?
    A. This process assigns cost estimates to project activities, including risks and contingency plans.
    B. The cost baseline will be used to measure variances and future project performance.
    C. This process assigns cost estimates for expected future period operating costs.
    D. The cost baseline is the expected cost for the project.
20. Which of the following is displayed as an S curve?
    A. Gantt
    B. Cost baseline
    C. Critical path
    D. Schedule baseline

Review Questions

1. You are a project manager for an international marketing firm. You are ready to assign resources to your new project using a work authorization system. Which of the following statements is not true?
    A. Work authorization systems clarify and initiate the work for each work package.
    B. Work authorization systems are written procedures defined by the organization.
    C. Work authorization systems are used throughout the project Execution processes.
    D. Work authorization systems are used throughout the Execution processes and are a tool and technique of the Direct and Manage Project Execution process.
2. You are a project manager for a growing dairy farm. It offers its organic dairy products regionally and is expanding its operations to the West Coast. It is in the process of purchasing and leasing dairy farms to get operations underway. You are in charge of the network operations part of this project. An important deadline is approaching that depends on the successful completion of the testing phase. You've detected some problems with your hardware in the testing phase and discover that the hardware is not compatible with other network equipment. You take corrective action and exchange the hardware for more compatible equipment. Which of the following statements is true?
    A. This is not a corrective action because corrective action involves human resources, not project resources.
    B. Corrective action is taken here to make sure the future project outcomes are aligned with the project management plan.
    C. Corrective action is not necessary in this case because the future project outcomes aren't affected.
    D. Corrective action serves as the change request to authorize exchanging the equipment.
3. You are a project manager for a growing dairy farm. It offers its organic dairy products regionally and is expanding its operations to the West Coast. It's in the process of purchasing and leasing dairy farms to get operations underway. The subproject manager in charge of network operations has reported some hardware problems to you. You're also having some other problems coordinating and integrating other elements of the project. Which of the following statements is true?
    A. You are in the Direct and Manage Project Execution process.
    B. Your project team doesn't appear to have the right skills and knowledge needed to perform this project.
    C. You are in the Information Distribution process.
    D. Your project team could benefit from some team-building exercises.

4. Which of the following processes serve as inputs to each other?
   A. Executing, and Monitoring and Controlling
   B. Executing and Closing
   C. Planning, and Monitoring and Controlling
   D. Executing and Initiation

5. Your team members have just completed training on specialized equipment. This is one of the work results you've gathered and recorded. Which of the following outputs of the Direct and Manage Project Execution process does this describe?
   A. Corrective action
   B. Deliverable
   C. Preventive action
   D. Work performance information

6. You are reporting on project elements such as schedule status, deliverables completion, lessons learned, and resource utilization. Which of the following outputs of the Direct and Manage Project Execution does this describe?
   A. Corrective action
   B. Deliverable
   C. Preventive action
   D. Work performance information

7. You are in the process of making project staff assignments. You have several candidates for a position on the project team that requires specific qualifications. All the candidates seem to meet the qualifications. You also consider personal interests, characteristics, and availability of these potential candidates. Which of the following is true?
   A. You are considering the organizational process assets input of the Develop Project Team process.
   B. You are considering the staffing management plan input of the Develop Project Team process.
   C. You are considering the enterprise environmental factors input of the Acquire Project Team process.
   D. You are considering the roles and responsibilities input of the Acquire Project Team process.

8. Your project team consists of 12 people in the same building you're located in, 4 people from the West Coast office, 2 people from the Kansas City office, and 6 people from the London office. Your office works different hours than all the other offices. Additionally, not all of the resources in your building are available at the same times during the day. Three of the 12 team members work swing shift hours. You use tools like web conferencing and email to distribute information to the team. Which of the following is true?
   A. This question describes the staffing management plan from the Acquire Project Team process and communication skills from the Information Distribution process.
   B. This question describes resource availability from the Develop Project Team process and information distribution methods from the Information Distribution process.
   C. This question describes virtual teams from the Acquire Project Team process and information distribution methods from the Information Distribution process.
   D. This question describes project staff assignments from the Develop Project Team process and communication skills from the Information Distribution process.

9. You are the project manager for a cable service provider. Your team members are amiable with each other and are careful to make project decisions jointly. Which of the following statements is true?
   A. They are in the smoothing stage of Develop Project Team.
   B. They are in the norming stage of Develop Project Team.
   C. They are in the forming stage of Develop Project Team.
   D. They are in the forcing stage of Develop Project Team.

10. You are the project manager for a cable service provider. Your project team is researching a new service offering. They have been working together for quite some time and are in the performing stage of team development. A new member has been introduced to the team. Which of the following statements is true?
    A. The team will start all over again with the storming stage.
    B. The team will continue in the performing stage.
    C. The team will start all over again with the forming stage.
    D. The team will start all over again at the storming stage but quickly progress to the performing stage.

11. You are the project manager for a cable service provider. Your project team is researching a new service offering. They have been working together for quite some time and are in the performing stage of Develop Project Team. This stage of Develop Project Team is similar to which of the following?
    A. Smoothing
    B. Achievement Theory
    C. Hygiene Theory
    D. Self-actualization

12. Receivers in the communication model filter their information through all of the following except _____.
    A. culture
    B. knowledge of subject
    C. habits
    D. language

13. You've promised your team two days of paid time off plus a week's training in the latest technology of their choice if they complete their project ahead of schedule. This is an example of which of the following?
    A. Achievement Theory
    B. Expectancy Theory
    C. Maslow's theory
    D. Contingency Theory

14. Your team is split between two buildings on either side of town. As a result, the team isn't very cohesive because the members don't know each other very well. The team is still in the storming stage because of the separation issues. Which of the following should you consider?
    A. Corrective action
    B. Co-location
    C. Training
    D. Conflict resolution

15. Which conflict resolution technique do project managers use most often?
    A. Smoothing
    B. Norming
    C. Confronting
    D. Forcing

16. You are a fabulous project manager, and your team thinks highly of you. You are well respected by the stakeholders, management team, and project team. When you make decisions, others follow your lead as a result of which of the following?
    A. Referent power
    B. Expert power
    C. Legitimate power
    D. Punishment power

17. Theory Y managers believe which of the following?
    A. People are motivated only by money, power, or position.
    B. People will perform their best if they're given proper motivation and expectations.
    C. People are motivated to achieve a high level of competency.
    D. People are motivated by expectation of good outcomes.

18. You have accumulated project information throughout the project and need to distribute some important information you just received. Which of the following is not an information distribution method?
    A. Electronic databases
    B. Videoconferencing
    C. Electronic mail
    D. Voicemail

19. You know that the next status meeting will require some discussion and a decision for a problem that has surfaced on the project. To make the most accurate decision, you know that the number of participants in the meeting should be limited to _____.
    A. 1 to 5
    B. 5 to 11
    C. 7 to 16
    D. 10 to 18

20. You are holding end-of-phase meetings with your team members and key stakeholders to learn what has hindered and helped the project team's performance of the work. All of the following are true regarding this situation except for which one?
    A. The information learned from these meetings concerns processes and activities that have already occurred, so it should be documented because the information is only useful for future projects.
    B. These meetings are called lessons learned meetings and they're a tool and technique of the Information Distribution process. They're also a good team-building activity.
    C. Project reports, part of the organizational process output of the Information Distribution process, include status meetings and lessons learned (which this question describes).
    D. These meetings should be documented as part of the lessons learned documentation, which is an element of the organizational process assets updates output of the Information Distribution process.

Review Questions

1. You are a project manager for Dakota Software Consulting Services. You're working with a major retailer that offers its products through mail-order catalogs. The company is interested in knowing customer characteristics, the amounts of first-time orders, and similar information. As a potential bidder for this project, you worked on the RFP response and submitted the proposal. When the selection committee received the RFP responses from all the vendors bidding on this project, it used a weighted system to make a selection. Which process did this occur in?
   A. Select Sellers
   B. Request Seller Responses
   C. Plan Contracting and Purchases
   D. Contract Administration

2. You have been asked to submit a proposal for a project that has been put out for bid. First you attend the bidder conference to ask questions of the buyers and to hear the questions some of the other bidders will ask. Which of the following statements is true?
   A. Bidder conferences are a tool and technique of the Select Sellers process.
   B. Bidder conferences are an output of the Select Sellers process.
   C. Bidder conferences are an output of the Request Seller Responses process.
   D. Bidder conferences are a tool and technique of the Request Seller Responses process.

3. You have been asked to submit a proposal for a project that has been put out for bid. Prior to submitting the proposal, your company must register so that its firm is on the qualified seller list. Which of the following statements is true?
   A. The qualified seller list provides information about the sellers and is a tool and technique of the Request Seller Responses process.
   B. The qualified seller list provides information about the project and the company that wrote the RFP and is an output of the Select Sellers process.
   C. The qualified seller list provides information about the project and the company that wrote the RFP and is a tool and technique of the Select Sellers process.
   D. The qualified seller list provides information about the sellers and is an output to the Request Seller Responses.

4. Which of the following tools and techniques of the Select Sellers process is used to check proposed pricing?
   A. Screening systems
   B. Seller rating systems
   C. Independent estimates
   D. Proposal evaluation technique

5. During the opening rounds of contract negotiation, the other party uses a fait accompli tactic. Which of the following statements is true about fait accompli tactics?
   A. One party agrees to accept the offer of the other party but secretly knows they will bring the issue back up at a later time.
   B. One party claims the issue under discussion was documented and accepted as part of Scope Verification.
   C. One party claims the issue under discussion has already been decided and can't be changed.
   D. One party claims to accept the offer of the other party, provided a contract change request is submitted describing the offer in detail.

6. The tools and techniques of the Request Seller Responses process include all of the following except which one?
   A. Bidder conferences
   B. Information technology
   C. Advertising
   D. Develop qualified sellers list

7. All of the following are tools and techniques of the Contract Administration process except for which one?
   A. Contract change control system, buyer-conducted performance review, and inspections and audits
   B. Performance reporting, payment system, and claims administration
   C. Records management system and information technology
   D. Contract performance information gathering and contract reporting systems

8. You are a project manager for an engineering company. Your company won the bid to add ramp-metering lights to several on-ramps along a stretch of highway at the south end of the city. You subcontracted a portion of the project to another company. The subcontractor's work involves digging the holes and setting the lamp poles in concrete. The subcontractor's performance is not meeting the contract requirements. Which of the following is not a valid option?
   A. You document the poor performance in written form and send the correspondence to the subcontractor.
   B. You terminate the contract for poor performance and submit a change request through Contract Administration.
   C. You submit a change request through Contract Administration demanding that the subcontractor comply with the terms of the contract.
   D. You agree to meet with the subcontractor to see whether a satisfactory solution can be reached.

9. You are a project manager for an engineering company. Your company won the bid to add ramp-metering lights to several on-ramps along a stretch of highway at the south end of the city. You subcontracted a portion of the project to another company. The subcontractor's work involves digging the holes and setting the lamp poles in concrete. You discover, through an independent review, that the process the subcontractor uses to report its progress is inefficient. Which of the following is true?
   A. You are in the Perform Quality Assurance process and have performed a quality audit.
   B. You are in the Perform Quality Assurance process and have performed a process analysis.
   C. You are in the Contract Administration process and have completed a contract audit to ensure that the subcontractor's performance meets the contract requirements.
   D. You are in the Performance Reporting process and have completed a performance review of the contractor's work.

10. The purpose of a quality audit includes all of the following except which one?
   A. To determine which project processes are inefficient or ineffective
   B. To examine the work of the project and formally accept the work results
   C. To improve processes and reduce the cost of quality
   D. To improve processes and increase the percentage of product or service acceptance

11. You are a contract project manager for a wholesale flower distribution company. Your project involves developing a website for the company that allows retailers to place their flower orders online. You will also provide a separate link for individual purchases that are ordered, packaged, and mailed to the consumer directly from the grower's site. This project involves coordinating the parent company, growers, and distributors. You've discovered a problem with one of the technical processes needed to perform this project. You decide to perform root cause analysis to determine the cause of this problem and recommended preventive actions. Which of the following is true?
   A. You are using the process analysis technique.
   B. You are using the quality audit technique.
   C. You are using the root cause identification technique.
   D. You are using a Quality Control tool and technique.

12. The tools and techniques of the Perform Quality Assurance process include all of the following except which one?
   A. Quality audits
   B. Process analysis
   C. Continuous process improvements
   D. Quality Control tools and techniques

13. When working in a matrix environment, all of the following are true regarding the Manage Project Team process except for which one?
   A. Communication methods and issue logs are used to create performance appraisals, provide feedback, and track issues.
   B. Managing project teams in a matrix environment is often a critical success factor for the project.
   C. It's the project manager's responsibility to make certain this dual reporting relationship is managed effectively.
   D. Loyalty issues might arise when managing projects in a matrix environment.

14. You are preparing project performance appraisals and have decided you'd like each team member to get feedback regarding their performance from several sources, including peers, superiors, and subordinates. Which of the following is true?
   A. This is called *360-degree feedback* and is part of the input to the organizational project performance appraisals, which is part of the organizational process assets updates input of the Manage Project Team process.
   B. This is called *360-degree feedback* and is considered part of the team performance assessment input of the Manage Project Team process.
   C. This is called *360-degree feedback* and is considered part of the work performance information input of the Manage Project Team process.
   D. This is called *360-degree feedback* and is part of the project performance appraisals tool and technique of the Manage Project Team process.

15. You are performing actions such as reporting and comparing actual project results against the project management plan, analyzing performance data and determining whether corrective or preventive action should be recommended, documenting all appropriate product information throughout the life of the project, gathering and recording project information, and monitoring approved change requests. Which process are you performing?
   A. Performance Reporting
   B. Manage Stakeholders
   C. Monitor and Control Project Work
   D. Perform Quality Assurance

16. You are collecting information regarding project progress and project accomplishments and reporting it to the stakeholders. You will manage these communication needs and resolve issues using the communication management plan as your guideline. Which of the following is true?
   A. You are using the Performance Reporting process, which involves reporting project progress and accomplishments to the stakeholders. You are using the performance information

gathering and compilation tool, which is used in conjunction with the communications management plan, to coordinate and report information.

B. You are using both the Performance Reporting and Manage Stakeholders processes, which are both part of the Project Communications Management Knowledge Area.

C. You are using the communications method (an input) and issue logs (a tool and technique) of the Manage Stakeholder process.

D. You are creating performance reports and recommended corrective actions, which are both outputs of the Performance Reporting process.

17. You are working on a project and discover that one of the business users responsible for testing the product never completed this activity. She has written an email requesting that one of your team members drop everything to assist her with a problem that could have been avoided if she would have performed the test. This employee reports to a stakeholder, not to the project team. All project team members and stakeholders are co-located. Since your team needs her to also participate in an upcoming test, you decide to do which of the following?

A. You decide to record the issue in the issue log and bring it up at the next status meeting. Everyone can benefit from understanding the importance of stakeholders fulfilling their roles and responsibilities on the project.

B. You decide to record the issue in the issue log and then phone the stakeholder to explain what happened. You know speaking with the stakeholder directly is the most effective means for resolving issues.

C. You decide to have a face-to-face meeting with the stakeholder because this is the most effective means for resolving issues with them.

D. You decide to email the stakeholder and explain what happened in a professional manner because this is the most effective means for resolving issues with them.

18. You are working on a project and discover that one of the business users responsible for testing the product never completed this activity. She has written an email requesting that one of your team members drop everything to assist her with a problem that could have been avoided if she would have performed the test. This employee reports to a stakeholder, not to the project team. You estimate that the project might not be completed on time as a result of this missed activity. All of the following are true except for which one?

A. You should recommend a corrective action to bring the expected future project performance back into line with the project management plan because of this employee's failure to perform this activity.

B. You should recommend a preventive action to reduce the possibility of future project performance veering off track because of this employee's failure to perform this activity.

C. You've created a forecast, an output of the Monitor and Control Project Work process, using past performance to predict what the project's future condition might look like.

D. You might have to request a change to the project schedule as a result of this missed activity.

19. All of the following are tools and techniques of the Performance Reporting process except which one?

A. Performance measurements

B. Cost reporting systems

C. Information presentation tools

D. Time reporting systems

20. Your project is progressing as planned. The project team has come up with a demo that the sales team will use when making presentations to prospective clients. You will do which of the following at your next stakeholder project status meeting?

A. Preview the demo for stakeholders, and obtain their approval and sign-off.

B. Report on the progress of the demo, and note that it's a completed task.

C. Review the technical documentation of the demo, and obtain approval and sign-off.

D. Report that the demo has been noted as a completed task in the information retrieval system.

Review Questions

1. You are a project manager for Bluebird Technologies. Bluebird writes custom billing applications for several industries. A schedule change has been requested. You know change is concerned with all of the following except which one?
   A. Managing change
   B. Verifying change
   C. Influencing causes of change
   D. Determining that a change occurred

2. You are a project manager for Bluebird Technologies. Bluebird writes custom billing applications for several industries. One of your users verbally requests changes to one of the screen displays. You explain to her that the change needs to go through the change control system, which is a subset of the configuration management system. You explain that a change control system does all of the following except for which one?
   A. Documents procedures for change requests
   B. Tracks the status of change requests
   C. Describes the management impacts of change
   D. Determines whether changes are approved or denied

3. You are a project manager for Star Light Strings. Star Light manufactures strings of lights for outdoor display. Its products range from simple light strings to elaborate lights with animal designs, bug designs, memorabilia, and so on. Your newest project requires a change. You have documented the characteristics of the product and its functionality using which of the following tools and techniques?
   A. Change control system
   B. Corrective action
   C. Configuration management
   D. Updates to the project management plan

4. You are a project manager for Star Light Strings. Star Light manufactures strings of lights for outdoor display. Its products range from simple light strings to elaborate lights with animal designs, bug designs, memorabilia, and so on. Your newest project requires a change. One of the business unit managers submitted a change through the change control system, which utilizes a CCB. Which of the following is true regarding the CCB?
   A. The CCB describes how change requests are managed.
   B. The CCB requires all change requests in writing.
   C. The CCB approves or denies change requests.
   D. The CCB requires updates to the appropriate management plan.

5. Which of the following statements is true regarding schedule variances?
   A. Schedule variances impact scope, which impacts the schedule.
   B. Schedule variances sometimes impact the schedule.
   C. Schedule variances always impact the schedule.
   D. Schedule variances never impact the schedule.

6. You are a project manager for Laurel's Theater Productions. Your new project is coming in over budget and requires a cost change through the cost change control system. You know all of the following statements are true regarding Cost Control except for which one?
   A. Performance is monitored to detect variances.
   B. Changes are reflected in the cost baseline.
   C. Changes are monitored and reflected in the project scope.
   D. Changes are monitored so that inappropriate changes do not get into the cost baseline.

7. Which of the following might require rebaselining of the cost baseline?
   A. Corrective action
   B. Revised cost estimates
   C. Updates to the cost management plan
   D. Budget updates

8. All of the following are activities of the configuration management system except for which one?
   A. Variance analysis
   B. Identification
   C. Status accounting
   D. Verification and auditing

9. Which of the following is not an activity of configuration management during the Integrated Change Control process?
   A. Verification
   B. Funding
   C. Status accounting
   D. Auditing

10. What are the performance measurements for the Schedule Control process?
    A. SV (EV – PV) and SPI (EV ÷ PV)
    B. SV (EV – AC) and SPI (EV ÷ AC)
    C. SV (EV – BAC) and SPI (EV ÷ BAC)
    D. SV (PV – EV) and SPI (PV ÷ EV)

11. This measurement is the value of the work that has been completed to date compared to the budget.
    A. PV
    B. AC
    C. EV
    D. EAC

12. You are a contract project manager for a wholesale flower distribution company. Your project is to develop a website for the company that allows retailers to place their flower orders online. You will also provide a separate link for individual purchases that are ordered, packaged, and mailed to the consumer directly from the grower's site. This project involves coordinating the parent company, growers, and distributors. You are preparing a performance review and have the following measurements at hand: PV = 300, AC = 200, and EV = 250. What do you know about this project?
    A. The EAC is a positive number, which means the project will finish under budget.
    B. You do not have enough information to calculate CPI.
    C. The CV is a negative number in this case, which means you've spent less than you planned to spend as of the measurement date.
    D. The CV is a positive number in this case, which means you're under budget as of the measurement date.

13. A negative result from an SV calculation means which of the following?
    A. PV is higher than EV.
    B. PV equals 1.
    C. EV is higher than PV.
    D. EV is higher than AC.

14. You are a contract project manager for a wholesale flower distribution company. Your project is to develop a website for the company that allows retailers to place their flower orders online. You will also provide a separate link for individual purchases that are ordered, packaged, and mailed to the consumer directly from the grower's site. This project involves coordinating the parent company, growers, and distributors. You are preparing a performance review and have the following measurements at hand: PV = 300, AC = 200, and EV = 250. What is the CPI of this project?
    A. 0.80
    B. 1.25
    C. 1.5
    D. 0.83

15. You do not expect the types of variances that have occurred on the project to date to continue. If BAC = 800, ETC = 275, PV = 300, AC^C = 200, EV = 250, and CPI^C = 1.25, what is the EAC?
    A. 640
    B. 750
    C. 600
    D. 550

16. You know that BAC = 375, PV = 300, AC = 200, and EV^C = 250. Variances that have occurred on the project to date are not expected to continue. What is the ETC?
    A. 75
    B. 50
    C. 125
    D. 150

17. You expect the types of variances that have occurred on the project to date to continue. If BAC = 800, ETC = 275, PV = 300, AC^C = 200, EV = 250, and CPI^C = 1.25, what is the EAC?
    A. 640
    B. 750
    C. 600
    D. 550

18. You know that BAC = 500, PV = 325, AC^C = 275, CPI = .9, and EV = 250 and that you are experiencing atypical variances. Variance at completion tells you which of the following?
    A. 25
    B. −52
    C. 52
    D. −25

19. You know that BAC = 500, PV = 325, AC^C = 275, and EV^C = 250 and that you are experiencing typical variances. What is ETC?
    A. 227.3
    B. 250
    C. 274.7
    D. 525

20. Your project progressed as planned up until yesterday. Suddenly, an unexpected risk event occurred. You quickly devised a response to deal with this negative risk event using which of the following outputs of Risk Monitoring and Control?
    A. Risk management plan updates
    B. Workarounds
    C. Corrective action
    D. Additional risk identification

Review Questions

1. You are working on a project that was proceeding well until a manufacturing glitch occurred that requires corrective action. It turns out the glitch was an unintentional enhancement to the product, and the marketing people are absolutely crazy about its potential. The corrective action is canceled, and you continue to produce the product with the newly discovered enhancement. As the project manager, you know that a change has occurred to the product scope because the glitch changed the characteristics of the product. Which of the following statements is true?
   A. Changes to product scope are reflected in the project scope.
   B. Changes to product scope are reflected in the integrated change control plan.
   C. Changes to product scope are a result of changes to the product description.
   D. Changes to product scope are a result of corrective action.

2. You are working on a project that was proceeding well until a manufacturing glitch occurred that requires corrective action. It turns out the glitch was an unintentional enhancement to the product, and the marketing people are absolutely crazy about its potential. The corrective action is canceled, and you continue to produce the product with the newly discovered enhancement. As the project manager, you know that a change has occurred to the project scope. Which of the following statements is true?
   A. Project scope changes do not require CCB approval.
   B. Performance measurement baselines might be affected by scope changes.
   C. Project scope change uses inspection to determine whether change has occurred.
   D. Project scope change uses workarounds to correct unexpected problems with scope change.

3. Your project has experienced some changes to the agreed-upon WBS elements. The changes were approved through the proper change control process. The WBS changes might in turn require which of the following?
   A. Scope changes
   B. Cost changes
   C. Schedule revisions
   D. Risk response changes

4. You are a project manager for Dakota Software Consulting Services. You're working with a major retailer that offers its products through mail-order catalogs. It is interested in knowing customer characteristics, the amounts of first-time orders, and similar information. The stakeholders have accepted the project scope. Work has begun on the project, and you're confirming some of the initial work results with the stakeholders. You've asked for acceptance of the work results. Which process are you in?
   A. Quality Assurance
   B. Quality Control
   C. Scope Verification
   D. Close Project

5. You are the project manager for a top-secret software project for an agency of the United States government. Your mission—should you choose to accept it—is to complete the project using internal resources. The reason is that finding contractors with top-secret clearances takes quite a bit of time, and waiting for clearances would jeopardize the implementation date. Your programmers are 80 percent of the way through the programming and testing work when your agency appoints a new executive director. Slowly but surely your programmers are taken off this project and reassigned to the executive director's hot new project. Which of the following type of project ending is this?
   A. Starvation
   B. Extinction
   C. Addition
   D. Integration

6. You are the project manager for a top-secret software project for an agency of the United States government. Your mission—should you choose to accept it—is to complete the project using internal resources. The reason is that getting top-secret clearances for contractors takes quite a bit of time, and waiting for clearances would jeopardize the implementation date. Your programmers are 80 percent of the way through the programming and testing work when your agency appoints a new executive director. Your programmers are siphoned off this project to work on the executive director's hot new project. Which of the following addresses the purpose of Scope Verification in this case?
   A. Scope Verification determines the correctness and completion of all the work.
   B. Scope Verification documents the level and degree of completion.
   C. Scope Verification determines whether the project results comply with quality standards.
   D. Scope Verification documents the correctness of the work according to stakeholders' expectations.

7. You are a project manager for Cinema Snicker Productions. Your company specializes in producing comedy films for the big screen. Your latest project has just been canceled because of budget cuts. Which of the following statements is true?
   A. This project ended due to starvation because the funding was cut off.
   B. This project ended due to integration because the resources were distributed elsewhere.
   C. This project ended due to starvation because the resources were distributed elsewhere.
   D. This project ended due to integration because the funding was cut off.

8. You are a project manager for Cinema Snicker Productions. Your company specializes in producing comedy films for the big screen. Your latest project has just been completed and accepted. You've been given your next project, which starts right away. Which of the following statements is true?
   A. This project ended due to extinction because it was completed and accepted.
   B. This project ended due to integration because it was completed and accepted and the project manager moved on to a new project.
   C. This project ended due to addition because it was completed and accepted and archived into the company's catalog of available films.
   D. This project ended due to integration because it was completed and accepted.

9. Which of the following processes are performed in the Closing process group and in what order?
   A. Contract Closure and then Close Project
   B. Scope Verification and then Close Project
   C. Contract Closure and then Scope Verification
   D. Close Project and then Contract Closure

10. You are a project manager for Dutch Harbor Consulting. Your latest project involves the upgrade of an organization's operating system on 236 servers. You performed this project under contract. You are in the Contract Closure process and know that you should document which of the following? (Choose the best response.)
   A. Administrative closure procedures
   B. Contract closure procedures
   C. Formal acceptance
   D. Product verification

11. You are a project manager for Dutch Harbor Consulting. Your latest project involves the upgrade of an organization's operating system on 236 servers. You performed this project under contract. You are in the Closing process and know that product verification is for what purpose?
   A. To verify the goals of the project and ensure that the product of the project is complete
   B. To evaluate all the work of the project and compare the results to project scope
   C. To verify that all the work was completed correctly and satisfactorily
   D. To evaluate project goals and ensure that the product of the project meets the requirements

12. You are a project manager for Dutch Harbor Consulting. Your latest project involves the upgrade of an organization's operating system on 236 servers. You performed this project under contract. You are in the Contract Closure process and have reviewed the contracting process to identify lessons learned. What is the name of the tool and technique you used to perform this function?
   A. Procurement audits
   B. Performance reviews
   C. Performance audits
   D. Procurement reviews

13. You are a project manager for Penguin Software. Your company creates custom software programs for hospitals and large dental offices. You have just completed a project and are gathering the documentation of the product of the project. This might include all of the following except _____.
   A. technical specifications
   B. electronic files
   C. organizational process assets
   D. enterprise environmental factors

14. The outputs of the Close Project process include all of the following except for which one?
   A. Administrative closure procedure
   B. Formal acceptance
   C. Lessons learned
   D. Closed contracts

15. You have collected the work performance information for your project to be included in the project archives. What is the purpose of the work performance information?
   A. The work performance information is used as part of the formal acceptance process to verify contract expenditures.
   B. The work performance information is used to determine the status of project activities and make certain the project goals and objectives are met.
   C. The work performance information is included in the project archive documentation after its accuracy is confirmed.
   D. The work performance information is used as historical information for future projects that are similar in scope to this project.

16. Your project was just completed. Because of some unfortunate circumstances, the project was delayed, causing cost overruns at the end of the project. Which of the following statements is true?
   A. You should document the circumstances as lessons learned.
   B. You should pay particular attention to archiving the financial records for this project.
   C. Your project ended because of starvation because of the cost overruns.
   D. You should document the circumstances surrounding the project completion during the Scope Verification process.

17. Your project was just completed. Because of some unfortunate circumstances, the project was delayed, causing cost overruns at the end of the project. This information might be useful on future projects in all of the following activities except for which one?
   A. Cost estimating
   B. Allocating resources
   C. Product verification
   D. Activity estimating

18. Your project was just completed, accepted, and closed. As is customary for your organization, you conduct a post-implementation audit. The purpose of this audit includes all of the following except for which one?
   A. Evaluating project goals and comparing them to the project's product
   B. Reviewing successes and failures
   C. Documenting the acceptance of the work results
   D. Documenting possible improvements for future projects

19. Contract documentation is an input to both the Close Project and Contract Closure processes. Contract documentation might include all of the following except for which one?
    A. Supporting documents
    B. Contract changes
    C. Financial documents
    D. Procurement audit documents

20. Procurement audits review which of the following?
    A. The procurement process from Procurement Planning through Contract Administration
    B. The contract administration process from Solicitation Planning through Contract Administration
    C. The procurement process from Procurement Planning through Contract Closure
    D. The contract administration process from Solicitation Planning through Contract Closure

Review Questions

1. As a project manager, you're responsible for maintaining and ensuring integrity for all of the following except which one?
    A. Personal integrity of others
    B. Project management process
    C. Personal integrity
    D. Product integrity

2. You are a project manager working on contract. You've performed earned value analysis and discovered that the project will be completed on time and under the original estimated amount. This means the profit to your company will decrease as will your personal bonus. Which of the following should you do?
    A. Add activities to the project to increase the cost enough to meet the original estimated amount.
    B. Tell the customer you're adding requirements to the project that were originally cut because of cost constraints.
    C. Upon completion, inform the customer the project has come in under budget.
    D. Bill the customer for the full amount of the contract because this was the original agreed-upon price.

3. Integrity in the project management field is accomplished through all of the following except which one?
    A. Training to learn how to manage relationships with others from different cultures
    B. Adhering to an ethical code
    C. Applying established project management processes
    D. Following the *PMP Code of Professional Conduct*

4. You are a project manager for a manufacturing firm that produces Civil War–era replicas and memorabilia. You discover a design error during a test production run on your latest project. Which of the following is the most likely response to this problem?
    A. Reduce the technical requirements so that the error is no longer valid.
    B. Go forward with production, and ignore the error.
    C. Go forward with production, but inform the customer of the problem.
    D. Develop alternative solutions to address the error.

5. You are a project manager for a telecommunications firm. You're working on a project that entails upgrading technical hardware and equipment. The estimated cost of the hardware and equipment is $1,725,000. You are reviewing products from three different vendors. One of the vendors invites you to lunch. What is the most appropriate response?
   A. Thank them, but let them know this could be a conflict of interest since you haven't made a decision about which vendor you're going to choose.
   B. Thank them, and decline. You know this could be considered personal gain, which could call your integrity into question.
   C. Thank them, and accept. You don't believe there is a conflict of interest or a personal integrity issue.
   D. Thank them, and decline. You believe this could be a conflict of interest on the part of the vendor, and you don't want to encourage that behavior.

6. You are a project manager for a telecommunications firm. You're working on a project that entails upgrading technical hardware and equipment. The estimated cost of the hardware and equipment is $1,725,000. You are reviewing products from three vendors. One of the vendors offers you and your family the use of the company yacht for the upcoming three-day weekend. What is the most appropriate response?
   A. Thank them, and accept. You don't believe there is a conflict of interest or an integrity issue at stake.
   B. Thank them, and decline. You know this could be considered personal gain, which could call your integrity into question.
   C. Thank them, and accept. Immediately report your actions to the project sponsor so that your motives are not called into question after the fact.
   D. Thank them, and decline. You know this could be considered an integrity issue on the part of the vendor.

7. You are a project manager working on contract with a company in a foreign country. At the project kickoff meeting, you are given an expensive-looking gift. The person who presented this to you said that it is customary in their country to give their business partners gifts. What is the most appropriate response?
   A. Thank them, and decline. Explain that this is considered personal gain, which is unacceptable in your country.
   B. Thank them, and accept. You don't believe there is a conflict of interest or an integrity issue at stake.
   C. Thank them, and decline. Explain that this is considered a conflict of interest, which is unacceptable in your country.
   D. Thank them, and accept since you know that it would be considered offensive to decline the gift in their culture. Immediately report the acceptance of the gift to the appropriate parties at your company so that your actions are not called into question later.

8. Life seems to be going very well for your close friend, a fellow PMP. She has taken a trip to France, bought a new car, and stocked her wine cellar with a half dozen expensive bottles of wine, all within the last six months. After a few cocktails one evening, she tells you her secret. The vendor she's working with on the $4 billion project she's managing has given her all of these items as gifts. Which of the following should you do? (Choose the best answer.)
   A. You tell your friend these gifts probably aren't appropriate and leave it at that.
   B. You and your friend have a long conversation about the gifts, and she decides to return them (with the exception of the trip) and not accept any more gifts in the future.
   C. You're happy for your friend and say nothing.
   D. Your friend doesn't see a problem with accepting these gifts at all. You know this is a conflict of interest situation and should be reported as a *PMP Code of Professional Conduct* violation.

9. As a project manager, you know that the most important activity to ensure customer and stakeholder satisfaction is which of the following?
   A. Documenting and meeting the requirements
   B. Documenting and meeting the performance measurements
   C. Reporting changes and updating the project plan and other project documents where appropriate
   D. Reporting project status regularly and in a timely manner

10. As a PMP, you will be required to comply with the *PMP Code of Professional Conduct*. This code refers to all of the following except which one?
   A. Reporting conflicts of interest
   B. Reporting experience and PMP status truthfully
   C. Complying with the stakeholder requirements
   D. Complying with the rules and standards of foreign countries

11. You are a contract project manager working with the State of Bliss. Your latest project involves rewriting the Department of Revenue's income tax system. One of the key stakeholders is a huge movie buff, and she has the power to promote you into a better position at the conclusion of this project. She has discovered that one of her favorite superstars lives in the State of Bliss and therefore must file income tax returns in that state. She asks you to look up the account of this movie star. What is the most appropriate response?
   A. Report her to the management team.
   B. Refuse to comply with the request, citing conflict of interest and violation of confidential company data.
   C. Look up the information she has requested. Since the data is considered part of the project, there is no conflict of interest.
   D. You believe that tax records are public information, so you comply with the request.

12. You are a contract project manager working with the State of Bliss. Your latest project involves rewriting the Department of Revenue's income tax system. As project manager, you have taken all the appropriate actions regarding confidentiality of data. One of the key stakeholders is a huge movie buff, and she has the power to promote you into a better position at the conclusion of this project. She's reviewing some report data that just happens to include confidential information regarding one of her favorite movie superstars. What is the most appropriate response?
    A. Report her to the management team.
    B. Request that she immediately return the information, citing conflict of interest and violation of confidential company data.
    C. Do nothing, because she has the proper level of access rights to the data and this information showed up unintentionally.
    D. Request that she immediately return the information until you can confirm that she has the proper level of access rights to the data.

13. As a PMP, you are required to comply with the *PMP Code of Professional Conduct*. Part of your responsibility concerns applying professional knowledge. All of the following are part of applying professional knowledge except for which one?
    A. Developing relationships based on mutual respect
    B. Staying abreast of project management practices
    C. Keeping up with industry trends and new technology
    D. Honestly reporting your project management experience

14. You are a project manager with several years of experience in project management. You've just accepted your first project in a foreign country. You've been in the country a week or two and are experiencing some disorientation. This is known as which of the following?
    A. Collocation
    B. Diversity shock
    C. Global culturing
    D. Culture shock

15. You are a project manager for a software manufacturing firm. The project you've just finished created a new software product that is expected to become a number-one seller. All prerelease of software is handled through the marketing department. A friend of yours is a certified software instructor. They have asked you for a copy of the software prior to the beta release so they can get familiar with it. What is the most appropriate response?
    A. Since your friend is certified to teach your company's brand of software, provide them with a copy of the software.
    B. Ask them to sign a nondisclosure agreement before releasing a copy of the software.
    C. Decline the request since you stand to gain from this transaction by receiving free training.
    D. Decline the request because the software is the intellectual property of the company.

16. Your upcoming project includes project team members from a foreign country. To make certain that cultural differences don't interfere with team performance, thereby affecting the success of the project, your first course of action is to do which of the following?
    A. Provide diversity training to all the team members.
    B. Collocate the project team.
    C. Perform team-building exercises.
    D. Inform the team members of the organization's rules and standards.

17. You are a project manager for Pizza Direct, which is a retail pizza delivery store. Your company is competing with another retail store for the option of opening two new stores in a foreign country. You have been invited to dinner with the prospective foreign business partners and their spouses upon your arrival. You know that all of the following statements are generally true except for which one?
    A. You should spend time building relationships with your prospective foreign business partners before getting down to business.
    B. You should explain your company's rules, standards, and operating policies at your first meeting with the prospective foreign business partners.
    C. You should build an atmosphere of mutual trust and cooperation.
    D. You should respect the cultural differences you'll encounter when working with your prospective foreign business partners.

18. You are a project manager for Pizza Direct, which is a retail pizza delivery store. Your company is competing with another retail store for the option of opening two new stores in a foreign country. You've been told that it is culturally unacceptable to eat certain foods in this country. You know that one of these foods happens to be a secret ingredient in the pizza sauce. What is the most appropriate response?
    A. Inform the potential partners that your sauce recipe is secret, but you're certain there are no forbidden ingredients in it.
    B. Inform the potential partners that you suspect there might be a forbidden ingredient in the sauce, and you'll request an investigation to determine whether it exists in the sauce.
    C. Inform the potential partners that a forbidden ingredient exists in the sauce and work with them to come up with another ingredient to replace that one.
    D. Don't tell the potential partners about the ingredient because the sauce they'll be using in the stores is shipped to them already prepared in cans. They won't know the ingredient is in the sauce.

19. You are a project manager for Pizza Direct, which is a retail pizza delivery store. Your company is competing with another retail store for the option of opening two new stores in a foreign country. You know, but have not yet informed your company, that you are going to go to work for the competitor, which happens to be bidding for this same opportunity. What is the most appropriate response?

    A. You decline to participate in the initial meetings with the foreign business partners because of a conflict of interest.

    B. You've not yet received an official offer from the competing company for your new job opportunity, so you choose to participate in the initial meetings with the foreign business partners.

    C. You decide to participate in the initial meetings with the foreign business partners because any information you gain now will help you when you make the move to the new company.

    D. You inform the foreign business partners that you're going to be working with a new company and that you know the deal they'll receive from the competing company is better than the one this company is proposing.

20. You are the project manager for a new construction project in your city. Your longtime personal friend is bidding on the project. Your friend has asked you to give them an indication of the budget for this project so that they do not overbid and lose the deal. What is the most appropriate response?

    A. Give the information to your friend. You know their character and can trust that they won't tell anyone.

    B. Tell your friend that after all this time, they should know you better than to think you'd put your personal integrity on the line or compromise your job because of a conflict of interest. Decline to give them the information.

    C. Tell your friend you'll give them the information if they'll promise not to tell anyone and if they'll agree to help you with some materials on your basement-refinishing project.

    D. Give the information to your friend and inform the project sponsor so that the information can be shared with the other bidders as well.